

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-19

Served: September 9, 2026

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding began on May 8, 2024, when the Federal Maritime Commission (“Commission” or “FMC”) issued a notice of filing of complaint and assignment. Complainant Peloton Interactive, Inc. (“Peloton”) alleged that Respondent Flexport International LLC (“Flexport”) violated 46 U.S.C. §§ 41102(c), 41104(a)(14), 41104(a)(15), and 46 C.F.R. §§ 545.4 and 545.5 by failing to properly perform its inland transportation obligations on store door shipments, engaging in unreasonable practices, issuing invoices without required information, and imposing unjust and unreasonable charges, including demurrage, detention, and other costs. (Dkt. 1.) On October 2, 2024, Peloton filed an amended complaint alleging the same Shipping Act violations. (Dkt. 14.) For the reasons set forth below, I find that Flexport: (1) did not violate 46 U.S.C. §§ 41102(c), 41104(a)(14), 41104(a)(15) or 46 C.F.R. §§ 545.4 and 545.5; and (2) is not liable for reparations.

B. Procedural History

On May 13, 2024, the Order Designating Administrative Law Judge was served, which assigned the proceeding to Judge Crovella. (Dkt. 3.) On May 13, 2024, the Initial Order was entered. (Dkt. 4.) On June 17, 2024, Respondent’s Motion to Dismiss Complaint was filed. (Dkt. 10.) On July 2, 2024, Complainant Peloton Interactive Inc.’s Opposition to Respondent Flexport International LLC’s Motion to Dismiss the Complaint was filed. (Dkt. 11.) On July 9, 2024,

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

Respondent's Reply Memorandum in Further Support of its Motion to Dismiss Complaint was filed. (Dkt. 12.)

On September 25, 2024, the Order Deferring Motion to Dismiss was served. (Dkt. 13.) On October 2, 2024, Complainant's Verified Amended Complaint was filed. (Dkt. 14.) On October 24, 2024, the Order Denying Motion to Dismiss was served. (Dkt. 15.) On October 29, 2024, Respondent's Verified Answer and Affirmative Defenses was filed. (Dkt. 16.)

On November 7, 2024, Complainant Peloton Interactive, Inc.'s Motion for Confidential Treatment was filed. (Dkt. 18.) On November 8, 2024, the Scheduling Order was served. (Dkt. 19.) On November 27, 2024, Respondent's Motion for Judgment on the Pleadings was filed. (Dkt. 20.) On December 12, 2024, Complainant Peloton Interactive, Inc.'s Cross-Motion to Strike or, in the alternative, Opposition to Respondent's Motion for Judgment on the Pleadings was filed. (Dkt. 21.)

On December 18, 2024, the Memorandum Order on Scheduling was served. (Dkt. 26.) On December 19, 2024, Respondent's Reply Memorandum in Further Support of its Motion for Judgment on the Pleadings was filed. (Dkt. 27.) On December 20, 2024, the First Amended Scheduling Order was served. (Dkt. 29.)

On January 3, 2025, Respondent's Motion to Compel Responses to Discovery was filed. (Dkt. 30.) On January 10, 2025, Complainant Peloton Interactive, Inc.'s Response to Respondent Flexport International LLC's Motion to Compel was filed. (Dkt. 31.) On January 14, 2025, Complainant Peloton Interactive, Inc.'s Motion to Compel was filed. (Dkt. 32.) On January 21, 2025, Respondent's Response in Opposition to Peloton's Motion to Compel was filed. (Dkt. 33.) On January 29, 2025, the Order Denying Motion for Judgment on the Pleadings and Denying Cross-Motion to Strike was served. (Dkt. 35.) On February 5, 2025, Complainant Peloton Interactive, Inc.'s Second Motion for Confidential Treatment was filed. (Dkt. 37.)

On February 6, 2025, Respondent's Response to Complainant Peloton Interactive, Inc.'s Second Motion for Confidential Treatment was filed. (Dkt. 38.) On February 19, 2025, the Second Amended Scheduling Order was served. (Dkt. 39.) On March 11, 2025, the Joint Status Report was filed. (Dkt. 40.) On March 17, 2025, Non-Party Zim Integrated Shipping Services Ltd.'s Motion to Quash was filed. (Dkt. 41.) On March 20, 2025, Respondent's Motion for Protective Order was filed. (Dkt. 42.) On March 21, 2025, Complainant Peloton Interactive, Inc.'s Opposition to Non-Party Zim Integrated Shipping Services Ltd.'s Motion to Quash was filed. (Dkt. 44.) On March 21, 2025, the Order Setting Status Conference on Discovery Motions was served. (Dkt. 45.)

On March 24, 2025, Complainant Peloton Interactive, Inc.'s Response to Flexport International LLC's Motion for Protective Order was filed. (Dkt. 46.) On March 26, 2025, the Memorandum Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel was served. (Dkt. 47.) On March 28, 2025, Complainant Peloton Interactive, Inc.'s Status Report was filed. (Dkt. 48.) On April 2, 2025, the Joint Status Report was filed. (Dkt. 50.)

On April 22, 2025, the Order on Complainant's Third Motion to Extend Schedule was served, which denied the request without prejudice. (Dkt. 52.) On April 23, 2025, the Notice of Extension of Time was served, extending the time for issuance of the initial decision from May 8, 2025, to November 10, 2025, and the final decision from November 24, 2025, to May 26, 2026. (Dkt. 53.) On April 25, 2025, Respondent's Motion to Dismiss and for Sanctions was filed. (Dkt. 54.) On April 30, 2025, Respondent's Notice of Supplemental Authority was filed. (Dkt. 55.)

On May 9, 2025, the Order on Motion to Quash was served, which granted Zim's Motion to Quash Peloton's Subpoena. (Dkt. 57.) On May 12, 2025, Complainant Peloton Interactive, Inc.'s Opposition to Respondent Flexport International LLC's Motion to Dismiss and for Sanctions was filed. (Dkt. 58.) On May 12, 2025, the Declaration of Kristine O. Little was filed by Complainant. (Dkt. 59.) On May 12, 2025, Complainant Peloton Interactive, Inc.'s Third Motion for Confidential Treatment was filed. (Dkt. 60.)

On May 15, 2025, the Order on Pending Motions was served, which resolved cross-motions to compel discovery, deferred ruling on Respondent's motion to dismiss and for sanctions, denied Complainant's Third Motion for Confidential Treatment, and granted Respondent's motion for modification of the scheduling order. The order directed Respondent to produce documents in response to outstanding document requests by a date certain, directed Complainant to respond to certain interrogatories by a date certain, and included a final scheduling order. (Dkt. 62.)

On May 22, 2025, Respondent's Motion for Sanctions for Failing to Comply with Discovery Orders was filed. (Dkt. 63.) On May 28, 2025, Complainant Peloton Interactive, Inc.'s Fourth Motion for Confidential Treatment was filed. (Dkt. 65.) On May 28, 2025, Complainant Peloton Interactive, Inc.'s Opposition to Respondent Flexport International LLC's Motion for Sanctions for Failing to Comply with Discovery Orders was filed. (Dkt. 66.) On June 6, 2025, Complainant Peloton Interactive, Inc.'s Status Report was filed. (Dkt. 67.) On June 6, 2025, Complainant filed the Second Declaration of Kristine O. Little. (Dkt. 68.) On June 6, 2025, Complainant Peloton Interactive, Inc.'s Fifth Motion for Confidential Treatment was filed. (Dkt. 69.)

On June 6, 2025, the Notice of Reassignment was served, in which the proceeding was reassigned to me. (Dkt. 70.) On June 13, 2025, Respondent's Response to Peloton's Status Report was filed. (Dkt. 71.)

On June 30, 2025, the Order on Pending Motions and Complainant's Unilateral Status Report and Amending Scheduling Order was served, which, *inter alia*, resolved the motions filed at Dkt. 54, 63, 30, 32, 18, 37, 65, 69, and 71. (Dkt. 72.) With respect to Respondent's Motion to Dismiss and for Sanctions, the order directed Complainant to provide a privilege log and sworn affidavit within 15 days, provided that all discovery issues not resolved by the order may be raised in the parties' briefs, and denied the request for attorney's fees and costs made in Complainant's response. With respect to Respondent's Motion for Sanctions for Failing to Comply with Discovery Orders, the request for sanctions was denied but Complainant was directed to supplement its discovery responses as specified, both parties were advised that sanctions may be imposed for failure to comply with the order, and Complainant's request for

attorney's fees was denied. The parties' cross-motions to compel discovery were granted in part and denied in part. Respondent was directed to produce certain responsive documents. Complainant was directed to supplement its response to certain interrogatories subject to specified requirements. Complainant's First Motion for Confidentiality was granted in part and denied in part. Complainant's Second, Fourth, and Fifth Motions for Confidentiality were denied. Complainant's Status Report and Respondent's response thereto were determined to be procedurally improper and the relief requested denied on that basis. The order directed the parties to address any unresolved discovery issues in their respective briefs. The order also contained Scheduling Order amendments.

On August 22, 2025, Respondent's deadline for filing its reply brief was extended. (Dkt. 85.) On August 26, 2025, the Order on Peloton's Motion for Clarification of Scheduling order was served. (Dkt. 87.) On September 15, 2025, Respondent's Reply Brief, Proposed Findings of Fact, and Response to Proposed Findings of Fact were filed. (Dkt. 88, 89, 90, 91). On September 15, 2025, Respondent's Motion to Strike Expert Report of Gregory E. Smith was filed. (Dkt. 92.) On September 17, 2025, Complainant Peloton Interactive, Inc.'s Expedited Second Cross-Motion to Strike was filed. (Dkt. 93.) On September 22, 2025, the Order on Complainant Peloton Interactive, Inc.'s Expedited Second Cross-Motion to Strike was served, which denied Complainant's motion to strike but extended Complainant's reply brief deadline. (Dkt. 94.) On November 13, 2025, Peloton's Interactive, Inc.'s Reply Brief to Flexport International LLC's Reply Brief was filed. (Dkt. 95.) On November 13, 2025, the Fourth Declaration of Kristine O. Little was filed. (Dkt. 96.) On November 13, 2025, Complainant Peloton Interactive, Inc.'s Response to Respondent Flexport International LLC's Proposed Findings of Fact was filed. (Dkt. 97.) On November 13, 2025, Complainant's Seventh Motion for Confidential Treatment was filed. (Dkt. 98.)

On November 13, 2025, Peloton Interactive, Inc.'s Opposition to Respondent's Motion to Strike Supplemental Report of Gregory E. Smith was filed. (Dkt. 99.) On November 13, 2025, the Declaration of Allison N. Skopec was filed. (Dkt. 100.) On November 24, 2025, a Notice of Extension of Time was issued by the Commission, which extended the deadline for issuance of the initial decision from November 10, 2025, to May 11, 2026, and the Commission's final decision from May 26, 2026, to November 27, 2026. (Dkt. 101.) On December 9, 2025, the Order on Respondent's Motion to Strike Expert Report of Gregory E. Smith was served, which denied Complainant's sixth and seventh motions for confidential treatment without prejudice, directed Complainant to resubmit confidential and public versions of its Initial Brief, Appendix, Proposed Findings of Fact, Reply Brief, and Responses to Respondent's Proposed Findings of Fact, and set a deadline for filing motions for confidential treatment. (Dkt. 102.)

On February 27, 2026, Complainant's resubmitted Proposed Findings of Fact was filed. (Dkt. 104.) On February 27, 2026, Complainant's resubmitted Initial Brief in Support of its Claims Against Flexport International LLC was filed. (Dkt. 105.) On February 27, 2026, Complainant's resubmitted Reply Brief to Flexport International LLC's Reply Brief was filed. (Dkt. 106.) On February 27, 2026, Complainant's resubmitted Response to Flexport International LLC's Proposed Findings of Fact was filed. (Dkt. 107.) On February 27, 2026, Complainant's resubmitted Appendix was filed. (Dkt. 108.) On March 13, 2026, Complainant's Eighth Motion for Confidential Treatment and updated confidentiality matrix was filed. (Dkt. 109.)

On April 23, 2026, a Notice of Extension of Time was issued by the Commission, which extended the deadline for issuance of the Initial Decision from May 11, 2026, to September 11, 2026, and the Commission's Final Decision from November 27, 2026, to March 29, 2027. (Dkt. 110.)

C. Arguments of the Parties

Peloton's Brief

Peloton argues that Flexport failed to establish, observe, and enforce just and reasonable regulations and practices in receiving, handling, storing and delivering Peloton's property in violation of Section 41102(c) of the Shipping Act. Peloton asserts that the FMC has jurisdiction because Flexport acted as a common carrier with respect to all shipments at issue and held itself out to the general public to provide transportation under store door terms. Peloton asserts that Flexport was responsible for and controlled all shipments from the point of origin to the point of delivery, assumed responsibility for the shipments under store door terms, and contracted, coordinated, and communicated with ocean and inland carriers to move Peloton shipments. Peloton argues that Flexport's practices were connected with receiving, handling, storing, or delivering property; Flexport's acts and omissions occurred on a normal, customary, and continuous basis; and Flexport's detention and demurrage charges disregarded the incentive principle and failed to serve their essential purposed of promoting freight fluidity. (Peloton Brief, at 8-22.)

Peloton argues that Flexport failed to apply the incentive principle in its operations; originated detention and demurrage charges under its own tariff to maximize revenue; failed to substantiate its charges with evidence; automatically charged Peloton for demurrage and detention without reason, transparency or verification; charged demurrage and detention based on its tariff and calculation of days; failed to properly train and supervise the employees invoicing detention and demurrage charges; charged detention and demurrage regardless of fault and imposed charges for delays that were the responsibility of Flexport, including chassis shortages, port congestion, and inland carrier delays; and provided no transparency about the cause of the delays at the time charges were imposed, failing to provide sufficient information with the invoices for the charges to be understood. (Peloton Brief, at 25-52.)

Peloton alleges that Flexport continued pursuing bookings and its practice of assessing D&D² pursuant to its tariff despite widely reported pandemic related supply chain issues, which resulted in increased detention and demurrage charges and proximately caused Peloton's loss. Peloton argues that rather than maximizing freight fluidity or minimizing D&D, Flexport's practices insured that its customers bore all the cost and risk associated with delays, allowing Flexport to profit from the charges. Peloton argues that Flexport's practices were the proximate cause of Peloton being assessed D&D charges in the amount of \$33.7 million on 3,249 store door moves of Peloton cargo in which Flexport was responsible for both ocean and inland transportation. Peloton argues that D&D should have been assessed against Peloton only in instances in which it was the direct and proximate cause of the delay. (Peloton Brief, at 52-60.)

Peloton argues that Flexport issued invoices on or after June 16, 2022, that did not comply with the requirements of 46 U.S.C. § 41104(d) due to its failure to implement the D&D billing practices required by 46 U.S.C. § 41104(a)(15)(A)-(M). Peloton argues that Flexport did not provide

² D&D stands for detention and demurrage.

the start and end date of free time for each container, the container availability date, or the specific dates for which demurrage and detention were charged. Peloton admits that an email address was included for disputes, but asserts that Flexport did not have any meaningful dispute resolution process because parties do not receive individualized responses to disputes arising from these invoices. Peloton contends that since July of 2022, Flexport issued thirteen invoices to Peloton totaling \$83,390, and that it is entitled to reparations on this independent ground. Peloton argues that Flexport assessed charges on or after June 16, 2022, that failed to comply with the requirements of 46 U.S.C. § 41102(c), 46 C.F.R. § 545.46, and § 41104(a)(14). Peloton argues that Flexport's practice of assessing D&D on store door moves also violated 46 U.S.C. § 41104(a)(14) in addition to § 41102(c) because Flexport was responsible for inland transportation charges, including D&D charges, assessed charges against Peloton regardless of fault, and cannot certify that its performance did not cause or contribute to the underlying invoiced charges. (Peloton Brief, at 60-61.)

Peloton argues that it is entitled to an award of reparations as a result of Flexport's Shipping Act violations as shown by its comprehensive damages expert report, including \$33.7 million in D&D and related charges, and attorney's fees and costs pursuant to 46 U.S.C. § 41305. Peloton argues that the direct damages include \$13.8 million of demurrage, \$16.2 million of equipment detention, and yard and warehouse storage of \$3.7 million. Peloton asserts that its damages expert's analysis of data from Flexport's CORE platform establishes that: \$26 million of the charges resulted from Flexport's actions with no evidence of fault by Peloton; \$5.8 million in charges lacked sufficient information to determine whether Peloton was responsible for the delays; \$1.7 million reflected joint responsibility of both Flexport and Peloton; and \$134,520 was attributable exclusively to Peloton. Peloton states that its expert reviewed Flexport's CORE data and classified it into four event categories directly resulting from a failure or omission by Flexport: no chassis provided; inland carrier delays; port and terminal congestion; and no appointments available. Based on this analysis, Peloton's expert catalogued every Flexport shipment and specified the number of shipment events by category to determine the party liable for the charges imposed. Peloton argues that Flexport failed to justify the charges assessed against Peloton and failed to rebut this analysis, arguing that the report by Flexport's expert should not be given any weight. Peloton argues that this constitutes a container-by-container analysis and supports an award of reparations. (Peloton Brief, at 61-69.)

Peloton argues that Flexport's discovery order violations, bad faith conduct, and witness tampering warrant the imposition of sanctions, including but not limited to the imposition of an adverse inference. (Peloton Brief, at 69-76.)

Flexport's Brief

Flexport argues that the Commission has rejected the argument that demurrage and detention cannot be charged on "store door" moves. (Flexport Reply Brief,³ at 8-9.) Flexport argues that Peloton has failed to meet its burden to prove each Shipping Act violation on a container-by-container day-by-day basis. (Flexport Reply Brief, at 9-11.) Flexport asserts it did not provide "store door service" but rather that cargo was transported on "CY-CY" terms subject to the detention and demurrage charges set forth in Flexport's Rules Tariff, and that Flexport provided inland transportation for many but not all shipments. Flexport argues that it is a global logistics service

³ Although Flexport's brief is technically a response and not a reply, it will be referred to herein as "Flexport's Reply Brief" as that is the title of the document filed September 15, 2025. (Dkt. 88.)

provider whose services include NVOCC, transportation broker, customs brokerage, and indirect air carrier. Flexport argues that each are separate services under the applicable agreements with the type of services requested, quoted, and accepted by Peloton. (Flexport Reply Brief, at 11-15.) Flexport asserts that Peloton approved and paid every invoice at issue for years without complaint or dispute despite that the agreements between the parties required notification of any dispute within a specified time frame. (Flexport Reply Brief, at 15-18.)

Flexport argues that Peloton caused the demurrage and detention at issue due to its poor business planning and failure to manage its inventory, noting that it made a decision to increase production and importation of products despite insufficient demand and lack of capacity to receive the shipments during disruptions to the supply chain impacting the entire industry. (Flexport Reply Brief, at 18-27.) Flexport argues that Peloton was responsible for emptying the containers and notifying truckers when the containers were empty but did not always provide the truckers with accurate information, which it asserts is inconsistent with Peloton's argument that Flexport was necessarily responsible for all charges for shipments under "store door" terms. (Flexport Reply Brief, at 27-28.) Flexport argues that Peloton's actions contributed to the supply chain disruptions by failing to make containers and chassis available for return and produced no evidence as to the availability of appointments to return containers through BlueCargo or otherwise. (Flexport Reply Brief, at 33-35.)

Flexport argues that Peloton failed to comply with two discovery orders compelling Flexport to provide information concerning the date of notification that containers were empty, the number of days the containers were at Peloton's facility before notice that they could be returned, and the factual basis that the delay was the result of Flexport's actions or inactions. Flexport asserts that Peloton only provided empty return notification dates for 496 of the 7,343 containers at issue on a spreadsheet prepared by counsel, which it asserts is not admissible evidence. (Flexport Reply Brief, at 28.) Flexport states that Peloton has this information because it admitted at deposition that it was used to prepare its audit of Flexport's demurrage and detention charges, which it withheld in discovery under a claim of privilege. (Flexport Reply Brief, at 29.) With respect to Peloton's claim that Flexport failed to produce its Warehouse App in which empty container notifications were entered, Flexport states that Peloton continues to have access to it and that regardless Peloton only used it for 63 of the subject shipments. It also argues that data from the Warehouse App is contained in the Events Downloads produced in discovery. (Flexport Reply Brief, at 29-30.)

Flexport argues that throughout the course of the proceeding Peloton has refused to provide and deliberately concealed the details of Peloton's alleged failures and violations with respect to the charges at issue, including its own internal audit of charges, and failed to comply with discovery orders requiring it to do so. Flexport argues that Peloton's actions in this regard support the imposition of an adverse inference. (Flexport Reply Brief, at 36-43.)

Flexport argues that Peloton's motion for discovery sanctions is not well founded. Flexport asserts that it has produced all responsive documents, totaling 106,966 pages, which includes all responsive shipment information, communications, notes, and training information. (Flexport Reply Brief, at 44-50.)

Flexport challenges Richard Roche's expert opinion as to liability on the ground that he is an executive for Flexport's competitor who should be disqualified based on the inherent conflict of interest. (Flexport Reply Brief, at 51-52.)

Flexport argues that Peloton failed to comply with its discovery obligations by not responding to Flexport's repeated requests for Peloton to specify what Flexport did wrong or sufficiently identify the charges in dispute by providing details such as the date of the charge. Flexport also challenges the admissibility of Exhibit A to the Amended complaint listing the charges in dispute, which it contends was created by Peloton's counsel based on an audit of charges performed by Peloton that was withheld under claims of attorney client and work product privileges. Flexport also states that Peloton failed to comply with the order directing it to provide Bates numbers for documents responsive to Flexport's interrogatories. Flexport states that Peloton's corporate representative merely referenced a mass document production in response to discovery requests and concealed relevant information and documentation. (Flexport Reply Brief, at 52-56.)

Flexport asserts that Peloton provided non-responsive discovery responses by asserting boilerplate objections, referring to its entire discovery response and stating that the response could be found therein, failing to identify specific documents responsive to each discovery request, and failing to cure the deficiency when ordered to do so. (Flexport Reply Brief, at 57-59.)

Flexport asserts that rather than producing admissible evidence through witnesses with knowledge, Peloton's counsel prepared discovery responses and Peloton presented its case through its damages expert Gregory Smith, whose process and conclusions Flexport challenges. Flexport argues that Smith included claims for the entire period from 2020 through 2022, including time-barred charges. Flexport asserts that Smith also included storage and warehouse charges despite that these were not listed as demurrage and detention charges in the Amended Complaint and therefore are outside the scope of the pleadings. Flexport argues that Smith mistakenly concluded that the subject shipments were store-door moves, and made a baseless legal determination that Flexport was responsible for all detention and demurrage charges as a result. Flexport asserts that Smith's report is flawed because it failed to conduct an analysis to determine whether Peloton played any role in the delays resulting in the demurrage, detention, and storage charges for the more than 7,000 shipments at issue. Flexport also renews its argument that Smith's supplemental report was untimely made after the expert witness deadline and should be stricken on this basis. Smith's supplemental report is based on spreadsheets containing shipment data that was produced by Flexport in three installments referred to as Events Downloads 1, 2, and 3. Flexport argues that the vast majority of data was produced in the first two spreadsheets produced in time for the report to have been prepared prior to the expert report deadline, and that the last spreadsheet included only seven shipments that occurred more than three years prior to the complaint being filed, but which were invoiced within the statute of limitations. (Flexport Reply Brief, at 59-62.)

Flexport argues that Smith's methodology in reviewing the Events Downloads is flawed and challenges his conclusion that Flexport was responsible for all demurrage and detention charges. Flexport asserts that Smith erroneously assigned fault to Flexport based on his determination that certain events were linked to invoices, and challenges his analysis on the ground that the invoices had charges for multiple containers. Flexport argues that Smith failed to link an event to a particular container, but nonetheless determined that the event resulted in delay for which Peloton incurred a charge. Flexport argues that Smith made a fatal error by failing to conduct a container-by-container analysis. Flexport argues that Peloton had significant capacity issues causing delays that resulted in the assessment of demurrage and detention. (Flexport Reply Brief, at 62-69.)

Flexport seeks the imposition of an adverse inference against Peloton for withholding the results of its internal audit and failing to produce documents. (Flexport Reply Brief, at 69-70.)

Flexport argues that Commission precedent warrants dismissal of the proceeding for a number of reasons, including that Peloton's experts did not perform a container-by-container analysis, did not investigate the causes of the charges at issue, and produced no evidence regarding the availability of appointments notwithstanding that such evidence is available. Flexport argues that Peloton's theory of the case is based principally on the flawed premise that Flexport is necessarily responsible for all charges because it was responsible for inland transportation on store door moves. (Flexport Reply Brief, at 70-76.)

Flexport argues that Peloton's claim that Flexport violated OSRA 2022 fails. Flexport argues that Peloton did not identify any invoices not containing the required information, but rather generally refers to invoices after July 2022. It asserts that Exhibit A to the amended complaint does not sufficiently identify the noncompliant invoices because it lacks an invoice date, but rather specifies only the month and year of each invoice for the shipments at issue. It also asserts that Exhibit A only contains 19 invoices issued in June 2022 or later, which are highlighted in Exhibit A to its answer. It also argues that its appendix contains the OSRA Addenda issued to Peloton containing the information required on invoices. Flexport argues that Peloton has not specifically identified any shipments with charges assessed in violation of 46 U.S.C. § 41104(a). (Flexport Reply Brief, at 76-78.)

Peloton's Reply Brief

Peloton argues that Flexport systematically imposed detention and demurrage charges on Peloton without oversight, justification, or meaningful consideration of fault and disregarded the incentive principle. Peloton argues that Flexport assessed demurrage and detention under a profit driven motive in which charges were indiscriminately imposed under its tariff under circumstances outside its control, such as chassis shortages, port congestion, and inland carrier delays. Peloton argues that these violations are established through the detailed shipment-level evidence and expert analysis of relevant documentation and communications. Peloton argues that Flexport: maximized profit rather than incentivized the movement of cargo; imposed charges without reason, transparency, or verification; pursued bookings despite well-known pandemic challenges; and offers no evidence to rebut Peloton's shipment-level factual record. (Peloton Reply Brief, at 3-6.)

Peloton argues that under the FMC's burden shifting framework, the burden shifts to Flexport to justify its conduct with specific evidence once Peloton established a prima facie case of unjust or unreasonable practices. Peloton contends that Flexport has failed to meet this burden. It argues that the record supports an award of \$33.7 million in reparations due to Flexport's unjust and unreasonable practices in violation of 46 U.S.C. § 41102(c). (Peloton Reply Brief, at 6-7.)

Peloton argues that its proposed findings of fact should be adopted due to Flexport's failure to rebut them with evidence. Rather, Peloton argues that Flexport's responses consist of general unsupported denials lacking citation, improper legal argument and conclusions, self-referential statements, and rhetorical questions. Peloton argues that Flexport's findings of fact should be rejected as lacking citation to evidence, containing unsupported legal argument and fact, and misrepresentations of proffered evidence. (Peloton Reply Brief, at 7-11.)

Peloton argues that Flexport has failed to rebut the legal framework that Peloton advanced in support of the Shipping Act violations alleged. Peloton argues that the charges imposed by Flexport do not align with the Incentive Principle, were levied without consideration of the underlying circumstances, were levied against Peloton when it was not at fault, and were unreasonable. Peloton

argues that Flexport's employees were not properly trained on the incentive principle and did not conduct a meaningful review before invoicing charges. Peloton argues that the record establishes that Flexport violated 46 U.S.C. § 41102(c) by failing on a continuous basis to exercise diligence on handling shipments for which it contracted to provide store door service and proximately caused Peloton's injuries. Peloton argues that where Flexport agreed but failed to provide store door service, Flexport should bear the resulting costs. Peloton argues that it should not be responsible for charges attributed to Flexport's failure to perform as agreed. Peloton argues that the record does not support Flexport's assertion that Peloton's warehouse capacity was a material factor for the majority of the delays at issue. (Peloton Reply Brief, at 11-29.)

Peloton argues that Flexport's request for dismissal is procedurally improper, and not supported by the law or evidence. (Peloton Reply Brief, at 29-32.)

Peloton argues that Flexport's invoices issued on or after June 16, 2022, failed to comply with the requirements for detention and demurrage invoices set forth in 46 U.S.C. §§ 41102(c), 41104(a)(14), and 46 C.F.R. § 545.46. Peloton argues that the invoice addenda issued months after the original invoice does not satisfy Flexport's statutory obligations. Peloton argues that both Exhibit A to the Amended Complaint and Smith's expert report provide detailed documentation of the charges, including specific invoice dates. Peloton argues that the evidence shows that demurrage and detention charges were assessed regardless of liability, and that Flexport failed to establish that it did not cause or contribute to the underlying invoiced charges in accordance with 46 U.S.C. § 41104(d)(2)(M). (Peloton Reply Brief, at 32-33.)

Peloton argues that it provided specific factual evidence for every shipment in support of its claim for reparations, and that Flexport misconstrues the container-by-container framework. Peloton argues that Flexport failed to justify its demurrage and detention practices and that the record demonstrates systematic violations within the applicable three year limitations period. Peloton argues that the record establishes that it paid Flexport \$33.7 million in detention and demurrage charges, and that Flexport failed to justify the reasonableness of these charges. Peloton argues that the charges were analyzed on a shipment-level basis. Peloton argues that its expert demonstrated that \$32.8 of the demurrage and detention charges were assessed for shipments where Flexport was solely responsible for the charge or there was no reason for the charge, and that only \$1.8 million was potentially attributable to Peloton warehouse concerns. Peloton argues that Flexport failed to meet its burden to justify the charges. Peloton argues that its expert report was based on analysis of all shipment level data in the Events Downloads from Flexport's CORE platform, and that Flexport's expert performed no analysis of the same data to rebut the findings. Peloton argues that Exhibits 3 and 4 to the Smith Supplemental Report reflect a container-by-container analysis with detailed listings and summaries of each shipment, the associated charges, and event log findings. Peloton argues that in arguing otherwise, Flexport misconstrues the applicable legal framework. Peloton argues that Flexport disregarded the incentive principal and failed to account for factors such as chassis shortages, port congestion, and inland carrier delays. (Peloton Reply Brief, at 33-52.)

Peloton argues that its reparations claims are timely, and that Flexport has failed to meet its burden of proof to establish the affirmative defense with competent evidence. Peloton states that it filed its complaint in this matter in May of 2024, and that all charges invoiced from May of 2021 onward are within the applicable three-year period. Peloton admits that 1,307 of the 3,249 invoices in Exhibit A to the Amended Complaint have an invoice date before May 2021, but argues that these only account for \$4,284,334.24 of the total damages sought. It argues that the remaining \$29,427,095 of detention, demurrage, warehousing, and storage fees were invoiced in May of 2021 or later.

Peloton argues that the invoice date is not determinative for purposes of calculating the statute of limitations, which did not begin to run until the claim accrued – that is from when Peloton knew or should have known that a Shipping Act violation occurred. Peloton argues that questions about Flexport’s D&D practices did not occur until the fall of 2023 when its invoice audit was conducted. (Peloton Reply Brief, at 52-56.)

Peloton argues that Flexport’s attempt to disqualify Peloton’s expert witness is meritless. Peloton argues that its internal audit is irrelevant to the Shipping Act violations at issue, and asserts that Flexport never moved to compel production of the audit on the ground that the claim of privilege had been improperly invoked. Peloton argues Flexport has failed to establish that an adverse inference against Peloton is warranted. Peloton argues that it is entitled to an adverse inference against Flexport for its discovery abuses. (Peloton Reply Brief, at 56-75.)

II. FINDINGS OF FACT⁴

A. Background

1. Peloton is a Delaware corporation with its corporate headquarters located at 441 9th Avenue, 6th Floor, New York, NY 10001. (FLERPFF 12.)
2. Peloton is a fitness company that offers various fitness products. (FLERPFF 14, 15.)
3. Flexport is a Delaware corporation with its principal place of business at 760 Market Street, 8th Floor, San Francisco, CA 94102. (FLERPFF 16.)
4. Flexport is a global logistics service provider that performs a variety of services. (PELRPFF 7.)
5. Flexport is a freight forwarder, NVOCC, customs brokerage provider, warehouse service provider, and property broker. Flexport provides 21 distinct services to its customers, including ocean, air, transportation brokerage, and customs brokerage. Flexport claims that it acts as an end-to-end supply chain specialist whether being used as NVOCC, freight forwarder, customs broker, or warehouseman. (Tanner Dep. 71:13-72:23, CXB-0340-0341).
6. Flexport is an NVOCC pursuant to 46 U.S.C. § 40102(17) and is registered as such with the Federal Maritime Commission (“FMC”) under Org. No. 025219. (Amended Complaint ¶ 5; Answer ¶ 5; FLERPFF 17.)

⁴ Complainant’s exhibits are designated “CX” followed by the Bates Stamp number. Respondent’s exhibits are designated “RX” followed by the Bates Stamp number. When helpful to the reader, a description of the exhibit follows the CX or RX Bates stamp number. Deposition references are to page numbers with line numbers following the colon. Complainant’s Proposed Findings of Fact are designated “PELRPFF” followed by the paragraph number. Complainant’s responses to Respondent’s Proposed Findings of Fact are designated “PELRPFF” followed by the paragraph number. Respondent’s Proposed Findings of Fact are designated “FLEPFF” followed by the paragraph number. Respondent’s Responses to Complainant’s Proposed Findings of Fact are designated “FLERPFF” followed by the paragraph number. References to the Findings of Fact within the body of this decision are designated “F of F” followed by paragraph number.

7. As an NVOCC, Flexport did not own any of the assets or equipment that it used to transport the movement of shipments that are the subject of this proceeding. (FLERPFF 19.)

B. Peloton's Witnesses

8. David Aaron Baitman is a former employee of Peloton, and his transportation team's job was to audit and pay invoices commencing in May or June of 2022 through the end of his employment in 2024. During his tenure, all Flexport invoices were paid and no dispute claims against Flexport were filed. (Baitman Dep. 9:24-11:8, CXB-2617-19; 20:22-21:16-21, CXB-2628-2629.)
9. David Beyar commenced employment with Peloton in May of 2021 and worked as an analyst on the North America Logistics team. He served as senior analyst of North America logistics at Peloton commencing in May of 2022. He served as manager of freight and spend analytics at Peloton commencing in May of 2023. He has served as senior manager of transportation operations at Peloton since January of 2025. As an analyst, he worked with warehouse personnel to move full truckloads or less than full truckloads of inventory from warehouse to warehouse on middle mile transportation depending on where it needed to go. His duties remained the same in each job, but the regions for which he was responsible changed from the Midwest and Pacific Northwest to the Northeast region. (Beyar Dep. 9:6-11:15, 16:25- 17:10, CXB-2056-2058, CXB-2063-2064.)
10. Angad Gadhok has been employed as the category manager of logistics and distribution procurement for Peloton since May of 2021. In that role, he supports Peloton's operations team in the space of logistics and distribution procurement, which includes ocean freight, airfreight, warehouse spaces, and transportation rates and agreements. (Gadhok Dep. 15:14-17:25, CXB-2361-2363.)
11. Martina Majstorovic testified at deposition as a witness on behalf of Peloton pursuant to 46 § C.F.R. 502.143(b)(6). (Peloton 143(b)(6) Dep. 7:24-7:7, CXB-1493-1494.)
12. Richard Roche testified as a liability expert witness on behalf of Peloton. He was vice president of Mohawk Global Logistics ("Mohawk") from 2013 to 2021 and has been senior vice president of Mohawk since 2022. His job duties consist of oversight of agent and other vendor relationships, signing contracts with the ocean carriers, problem-solving, and troubleshooting. He also assists the QI at Mohawk with compliance on regulatory issues. Prior to Mohawk, he was a qualifying officer at Diplomat Global Logistics from 2001 to 2009. Mohawk is licensed as an OTI, freight forwarder and NVOCC, and it provides international transportation services including ocean and air freight, customs brokerage, and domestic transportation. (Roche Dep. 15:23-24, 37:13-38:22, 41:20-42:1, 44:23-45:25, CXB-2989, CXB-3011-3012, CXB-3015, CXB-3018-3019.) Mohawk is a competitor of Flexport. (Roche Dep. 148:15-21, CXB-3122.)

C. Flexport's Witnesses

13. Andrew Banaszak was employed by Flexport from July 2017 to July 2021. He served as operations manager from July 2017 to April 2020 and managed a team of associates responsible for the coordination of shipments for customers shipping cargo from overseas for import into the United States. Cargo was shipped by means of ocean, air freight, and drayage trucking. From April 2020 until he left in July 2021, he served in the newly developed role of account manager. In that capacity, he worked to build a relationship with a customer within the transportation department in order to understand the customer's capacity needs, coordinate with Flexport's procurement teams, and lead general discussions with the customer at a high level. In this role, he was assigned three customers, one of which was Peloton. (Banaszak Dep. 13:20-25, 14:24-15:16, 15:23-17:4, CXB-0767, CXB-0768-0769, CXB-0769-0771.)
14. Reid Breck started working at Flexport on May 14, 2018. Since January of 2024, he has been employed as vice president and general manager of the Northeast, in which capacity he oversees the sales and operations team. Previous roles included general manager of the Midwest and chief of staff for the head of North America. From 2020 through January 2022, he served as a global key account manager. In that role, his duties included developing strategic solutions for customers and building relationships. He maintains Google Drive folders based on customers. He testified that client emails are maintained in Gmail. He testified that Peloton invoices are maintained within the Flexport platform, are visible to Peloton, and are stored on the platform. He testified that Peloton's SOP (standard operating procedure) is maintained on the Google drive. (Breck Dep. 24:6-8, 24:18-25:23, 26:12-15, 33:11-34:13, 35:1-37:13, CXB-1003-1004, CXB-1005, CXB-1012-1013, CXB-1014-1016.)
15. Jackie Nable commenced employment with Flexport as an account manager on September 19, 2019. She served as a global key account manager from 2020 to 2023. In that role, she was responsible for managing relationships with assigned clients and ensuring they are satisfied working with Flexport. She handled 3 to 4 clients, including Peloton during certain periods. She has been employed as a senior account executive at Flexport since 2023. (Nable Dep. 19:9-21:10, 23:21-24:19, 26:10-20, CXB-1270-1272, CXB-1274-1276.)
16. Nick Peckham was employed by Flexport as a data operations associate from July 2019 to September 2020. He next worked as a client solutions associate until March 2022 when he served as a senior client solutions associate until January 2023. All three jobs had the same general duties. His primary duty was to ensure data quality related to the movement of containers and freight globally, which included insuring scheduling accuracy, entering data from other parties into Flexport's system, scheduling appointments, overseeing operations, creating reports, ensuring custom clearances have been obtained, and working with

truckers to pick up containers and deliver containers from the port to the final destination. (Peckham Dep. 19:25-21:8, 25:7-28:25, 33:14-34:8, CXB-0517-0519, CXB-0523-0526, CXB-0531-0532.)

17. Ryan Tanner testified at deposition as a witness on behalf of Flexport pursuant to 46 § C.F.R. 502.143(b)(6). (Flexport 143(b)(6) Dep. 8:2-10, CXB-0008.)
18. Ryan Tanner was also deposed in his individual capacity. He has been employed by Flexport for approximately five years and has served as the senior director of compliance since March 1, 2025. Prior to his promotion, he served as director of compliance. In his current position, he is responsible for oversight of: trade and regulatory compliance with numerous government agencies; loss prevention; corporate liability and claims support; occupational safety; supply chain security programs; and the FMC program. (Tanner Dep. 20:21-22:10, CXB-0289-0291.)

D. Transportation Agreements

19. Flexport has shipped Peloton goods since at least 2015, including under various Negotiated Service Agreements (“NSAs”), Negotiated Rate Agreements (“NRAs”), and Master Service Agreements (“MSAs”). These include an MSA and related NSA dated June 1, 2020, and an MSA and related NSA dated July 1, 2021, applicable to the majority of the shipments for which Peloton seeks reparations in this proceeding. (Amended Complaint ¶ 14; Answer ¶ 14.) These agreements and the associated bills of lading provide that the shipments are moved on CY-CY terms and that after free time expires demurrage and detention will be charged in accordance with Flexport’s tariff. (Tanner Dep. 279:23-280:7, CXB-3253-3254; 2020 MSA, CXC-0040 ¶¶ 3-4; 2021 MSA, CXC-0058 ¶¶ 3-4.) The agreements also provide for Peloton to dispute an invoice within a specified time frame and withhold payment if the dispute is not resolved. (CXC-0029 ¶ 3(c); CXC-0045 ¶ 3(c).)
20. Peloton and Flexport entered into a service agreement effective June 1, 2020. (FLERPFF 33; Flexport 143(b)(6) Dep. Ex. 4, CXC-0028-0043.)
21. Peloton and Flexport entered into a second service agreement effective July 1, 2021. (FLERPFF 34; Flexport 143(b)(6) Dep. Ex. 4, CXC-0044-0078.)
22. By approximately June of 2022, Peloton had significantly reduced shipping Peloton containers with Flexport. (Amended Complaint ¶ 24; Answer ¶ 24.)
23. Peloton was not a party to Flexport’s contracts with truckers, vessel carriers, or other subcontractors. (FLERPFF 47; Flexport 143(b)(6) Dep. 60:23, 89:10-20, CXB-0060, CXB-0089.)
24. Flexport’s obligations to handle inland drayage were determined by what was requested by the client, which was quoted and accepted on the quote. (Flexport

143(b)(6) Dep. 68:17-23, CXB-0068; Tanner Dep. 139:18-140:21, CXB-0408-0409.)

25. Flexport's Rules tariff sets forth the rates for demurrage and detention. (FLERPFF ¶ 60; Tanner Dep. Ex. 9 (demurrage tariff) and 10 (detention tariff), CXC-0136-0138, CXC-0139-0141.)

E. Store Door Delivery

26. The term "store door" is commonly used in the contracting world of ocean common carriers to refer to carrier haulage that includes door to door delivery service. (FLERPFF 27; CXD-0010, Roche Expert Report ¶ 1-2, CXB-0060, CXB-0089.)
27. Despite direct questioning at deposition asking Peloton's corporate witness to identify the document under which Flexport agreed to transport Peloton's goods under "store door" terms, Martina Majstorovic did not specify a single document containing that term. Rather, when asked repeatedly about the interrogatory requesting Peloton to identify the page number of each agreement in which the phrase "store door" was used, Ms. Majstorovic did not answer the question, stating in each instance that 20,000 documents had been produced in Peloton's responses to interrogatories that Flexport can reference to find the relevant information. (Peloton 143(b)(6) Dep. 108:21-113:2, CXB-1595-1600.)

F. Bills of Lading

28. A CY/CY bill of lading provides transportation from port to port. (Flexport 143(b)(6) Dep. 119:15-120:18, CXB-0119-0120.)
29. Flexport's bills of lading provided for CY-CY movement in the box titled "Special Instructions." The bills of lading do not necessarily show the final cargo destination because they reflect only ocean freight and not necessarily all of the services listed in the overall quote. (Banaszak Dep. 113:25-114:23, CXB-0867-0868; RX47-RX64.)

G. Transportation of Peloton's Cargo

30. During the relevant time period, Flexport provided transportation and logistics services for Peloton, including NVOCC services, inland trucking services, and customs brokerage services that included storage for extended periods while Peloton had supply chain issues. (Flexport 143(b)(6) Dep. 47:3-48:13, CXB-0047-0048.)
31. Peloton's cargo was typically transported from a manufacturer's location or the port overseas to an inland destination in the United States, typically a warehouse location for offloading of the container. (Flexport 143(b)(6) Dep. 49:20-51:8, CXB-0049-0051.)

32. Peloton's cargo was sometimes transported port to port. (Roche Expert Report at ¶¶ 16, 17, 39, CXD-0013-0014 and 0019.)
33. Flexport procured space on a master carrier and moved Peloton cargo from container yard to container yard, and provided inland trucking by submitting a work order to one of Flexport's network of drayage partners to retrieve the container and deliver it to the final destination once it was ready for movement. The truckers were hired by, paid by, and worked for Flexport, but Peloton provided instructions to drop off at a location at a specific time and notified truckers when a container was empty and available for pick up. Peloton's customs brokerage services included facilitating customs entry and subsequent clearance with U.S. Customs to allow entry of the goods into the United States. (Flexport 143(b)(6) Dep. 51:17-52:10, 55:7-59:9, 66:11-67:5, CXB-0051-0052, CXB-0055-0059, CXB-0066-0067.)
34. Peloton initiated each shipment by requesting a quote from Flexport for specific services. (FLERPFF 40; Flexport 143(b)(6) Dep. 68:20-23, CXB-0068.)
35. Peloton requested the type of services it wanted to receive when it requested a quote from Flexport. (Tanner Dep. 68:17-23, CXB-0068.)
36. When a quote provided for door-to-door service, Flexport facilitated the movement of goods from the originating location, whether warehouse or other main location, and loaded them on the container or vessel via their partner, the master carrier. Upon arrival to the United States, Flexport facilitated delivery from the port to the main location. Flexport sometimes also provided services, including customs brokerage, warehousing, transloading, and yard storage. (Tanner Dep. 140:23-141:17, CXB-0409-0410.)
37. In some instances, Flexport used its own subcontractors, including truckers and vessel carriers, to arrange intermodal transportation to facilitate the movement of Peloton Shipments. (FLERPFF 44; Flexport 143(b)(6) Dep. 55:6-14; 89:10-90:9, CXB-0055; Banaszak Dep. 23:24-24:6, 48:4-7, 57:12-17, 75:22-76:2, CXB-0777-0778, CXB-0802, CXB-0811, CXB-0829-0830.)
38. In some instances, Flexport only provided inland transportation while other entities handled the ocean portion of the transit. (Majstorovic Dep. 67:1-14, CXB-1905, Peloton 143(b)(6) Dep. 141:1-142:25, CXB-1628-1629.)
39. Flexport contracted with three or four primary ocean carriers to move Peloton cargo. (FLERPFF 45; Amended Complaint Ex. A, CXA-0154-0240; Peloton's Status Report at 6, CXA-0135.)
40. Flexport determined the ports where Peloton Shipments would be sent. (FLERPFF 49; Banaszak Dep. 165:1-25, CXB-0919.)

41. Flexport, as the NVOCC, obtained allocations and dedicated space on ocean vessels for clients such as Peloton. (FLERPFF 50; Banaszak Dep. 151:18-152:2, CXB-0905-0906.)
42. Flexport tracked each stage of every shipment, monitoring key milestones such as the cargo ready date, container pickup at the origin, and delivery to the departure port. (FLERPFF 55; Breck Dep. 69:21-22, CXB-1048; Tanner Dep. 96:1-17, CXB-0365; Breck Dep. 99:23-100:19, CXB-1078-1079; Breck Dep. 70:7-14, CXB-1049.)
43. Flexport hired and paid the truckers to deliver Peloton's cargo and issued delivery instructions, but according to Peloton's standard operating procedure Peloton's warehouse communicated with the trucker to schedule appointments times to pick up the container and deliver it at that time for Peloton's warehouse to unload. Peloton then contacted the drayage partner directly when the container was empty and available for pick up because only Peloton had that information. (Flexport 143(b)(6) Dep. 55:6-57:06, CXB-0056-0057.)
44. Peloton's containers were available and ready to be returned when they were empty. Peloton sometimes advised Flexport that a particular container was available for pickup, but on arrival the warehouse manager would advise Flexport's trucker that the container was not actually empty. (Breck Dep. 193:20-194:17, CXB-1172-1173.)
45. Peloton's ERP system contains information about the shipments at issue, including the products that were being transported, the SKUs, the origin information and the destination information, the audit logs on when the purchase order or shipment was created, the milestones along the way, and when the shipment was finally received at one of Peloton's distribution centers or warehouses. (Beyar Dep. 145:17-146:14, CXB-2191-2192.)
46. Flexport ceased providing NVOCC services to Peloton in mid-2022. (FLERPFF 281.)

H. Tracking of Shipments

47. Flexport tracked each stage of every shipment, monitoring key milestones such as the cargo ready date, container pickup at the origin, and delivery to the departure port. Its data stems from carrier integration and terminal integrations. The company maintained detailed records as containers moved through various locations—whether at sea, on rail, or at intermediary ports—until reaching their final U.S. destinations. Important dates—including the container's gate-out, last free day at the port, final delivery to the customer, and the empty return date—were all logged in the Flexport platform by Flexport employees (FLERPFF 55; Breck Dep. 69:21-22, CXB-1048; Tanner Dep. 96:1-17, CXB-0365; Breck Dep. 99:23-100:19, CXB-1078-1079; Breck Dep. 70:7-14, CXB-1049.)

48. Pursuant to Peloton's operational process, one bill of lading with an ocean carrier may have as many as eight containers on it, all of which might be sent to different warehouses or other locations, but would appear on one invoice referenced by Flex ID number. (Peckham Dep. 115:27-116:23, CXB-0613-0614.)
49. Flexport's system, referred to internally as the "CORE" platform, provides clients, including Peloton, with real-time tracking data for each and every shipment handled by Flexport. The data in "CORE" is received by Flexport's retained truckers, through another platform that the truckers refer to as "Transmission." Truckers would electronically enter each and every status update regarding a shipment through "Transmission." This data is immediately reflected in "CORE" and cannot be deleted or modified by the trucker. The data sent using "Transmission" is exactly the same as in "CORE." (Tanner Decl. ¶¶ 2, 9-13, CXA-0241-0242.)
50. CORE is Flexport's propriety operating system used to track all aspects of shipments from door to door, port to door, or port to port, and calculate charges based upon Flexport's tariffs, number of free days, NRAs, and NSAs. (FLERPFF 246; Flexport 143(b)(6) Dep. 160:21-164:4, CXB-0160-0164; Tanner Dep. 96:1-17, CXB-0365.)
51. CORE includes all data related to shipments, including "client information, shipper information, booking information, commodity information, container information; piece, counts, weights, seal numbers; routing information, such as origin, origin port, destination port, destination; any timeline associated with that routing, such as ETs, ATAs, ETDs, ATDs; customs documentation, custom status, ISF status, invoices, commercial invoices received in PDF form, packing lists, bill of lading information, quotes, the NRA itself, and the invoices." (FLERPFF 247; Tanner Dep. 95:15-96:17, CXB-0364-0365; Breck Dep. 99:23-100:19, CXB-1078-1079; CXB-2078-2079.)
52. The CORE system was the primary operating platform that Flexport used to store information related to the movement of Peloton Shipments, including container tracking numbers, transit schedules, FlexIDs, delivery locations, and delivery timeframes. (FLERPFF 363; Flexport 143(b)(6) Dep. 160:21-164:4, CXB-0160-0164; Tanner Dep. 95:25-96:17, CXB-0364-0365).
53. CORE also includes container arrival dates, discharge dates and outgate dates, as well as tracking of free time and D&D. During the relevant period, the existence of demurrage and detention would be apparent in real time but the final balance due would not be calculated until the invoice was generated. (FLERPFF 248; Tanner Dep. 95:25-97:16, CXB-0364-0366.)
54. Flexport's tracking portal listed the containers on a shipment, milestone movement of those containers (such as in transit, delivered to port, on board vessel, delivered to final destination, delayed), freight type, freight terms that were primarily port to door and FOB, and details that the Flexport team would

add regarding any chassis delays, delays with procuring truckers, or delays in accessing and gaining appointments to pick up or return containers. This tracking portal provided updates as to the milestone movements of each container. Although not all email communications were included, Flexport communicated with Peloton in weekly calls and in some instances daily. (Peloton 143(b)(6) Dep. 33:21-36:24, CXB-1520-1522; Banaszak Dep. 191:19-192:9, CXB-0945-0946.)

55. CORE allowed Flexport's customers, including Peloton, to have access and full visibility of their entire supply chain from end to end that allowed them to run reports utilizing 435 unique fields, which Flexport considered to be its biggest value-added service. Customers are given a demo at the client portal to show them how to set up recurring reports and milestone alerts when they set up their portal in order to set up alerts to up to 50 or 100 people who want to be alerted of relevant milestones. (Tanner Dep. 71:13-72:23, 137:2-138:3, CXB-0339-0341, CXB-0406-0407.)
56. Flexport "hardcoded" its tariff into CORE, which automatically calculated the demurrage or detention applicable to shipments based on Flexport's tariff, the number of free days, NRAs, and NSAs. Draft invoices were populated based on the information in CORE and then reviewed by a Flexport operations associate at the squad level to double check the information to ensure the charge was calculated accurately. (FLERPFF 250 and 251; Flexport 143(b)(6) Dep. 160:21-163:18, CXB-0160-0163; Tanner Dep. 93:10-94:14, CXB-0362-0363; Peckham Dep. 67:10-68:14, 128:6-21, 132:5-133:7, 133:18-134:20, CXB-0565-0566, CXB-0626, CXB-0630-0632.)
57. The data in CORE was used to populate demurrage and detention charges on Peloton invoices that were then double checked to make sure that the data in CORE was accurate. (FLERPFF 251; Peckham Dep. 128:6-21, 133:18-134:20, CXB-0626, 0631-0632.)
58. Flexport employees reviewed the invoices that were automatically generated for their approval and transmission to Peloton. If the invoices generated by CORE were inaccurate, the employee could reject them and manually enter the correct amount on the invoice. In addition, the review included looking at bills from the ocean carrier and for any error caused by Flexport or a Flexport partner or notes in CORE entered by the operations team that may result in reducing or waiving fees. (FLERPFF 255; Peckham Dep. 135:19-138:9, 204:11-205:23, CXB-0633-0636, CXB-0702-0703.)
59. Flexport's review of shipments in preparing invoices included searching for email communications by inputting the container number and reviewing any email regarding a particular shipment that popped up in response. Additionally, communications were sometimes pasted into the internal notes tab on CORE. This information would be used to attempt to determine the reason for a container

remaining in port beyond free time or an unusually high charge. (Peckham Dep. 164:7-168:22, CXB-0662-0666.)

60. A Flexport operations associate or manager reviewed the validity of charges on invoices by looking through the shipment life cycle for any deviations or events that looked off. Additionally, an operations associate could go back and re-review a shipment to address an issue raised by a client to ensure at the time of invoicing that the charges were true, accurate, and correct. (Flexport 143(b)(6) Dep. 166:2-167:25, CXB-0166-0167.)
61. Flexport operations associates undergo recurring training and shadowing sessions to learn from other senior operators what to do through the life cycle of a shipment. They learn on the job from more experienced employees and managers. Other than Flexport's rules tariff and FMC regulations, there was no written policy on how to assess detention and demurrage, which was established by either the ocean carrier or the marine terminal operator. Associates were well versed on how to issue valid invoices and actively try to mitigate or avoid demurrage by seeking an extension of the last free day from the carrier or terminal depending on which was assessing the charge. Prior to OSRA 2022, if no extension was granted by the carrier or terminal then demurrage would be charged in accordance with Flexport's tariff. (Flexport 143(b)(6) Dep. 170:21-176:24, CXB-0170-0176.)

I. Transmission and Peloton Events Downloads

62. The data in "CORE" is received by Flexport's retained truckers through another platform that the truckers refer to as "Transmission." (Tanner Decl. ¶ 10, CXA-0242.)
63. Truckers would electronically enter each and every status update regarding a shipment through "Transmission." This data is immediately reflected in "CORE" — and cannot be deleted or modified by the trucker. The data sent using "Transmission" is exactly the same as in "CORE." (Tanner Decl. ¶¶ 11, 12 CXA-0242.)
64. In response to a subpoena Peloton served on a third-party trucking company in which Peloton sought, inter alia, communications between the trucking company and Flexport, the trucking company responded as follows:
 - For all Flexport communications during this time up until today we use their system Transmission as the source of truth
 - All communication with Flexport occurs via messaging in the Transmission platform between our CSRs and their team
 - All reported milestones, charges, accessorials, exceptions and documentation uploads occur in Transmission

- [Trucking Company] creates invoices, reports, charges and submits invoices to Flexport via Transmission
- [Trucking company] can no longer search this information in Transmission as the shipment records archive and are not searchable after a period of time and that period does not extend back to the 2020-2022 period.

(CXF-0063.)

65. In preparing the discovery responses in this litigation, the only way to download the information contained in "CORE" was the spreadsheets that Flexport entitled the "Events Downloads." (Tanner Decl. ¶ 13, CXA-0242.)
66. The initial spreadsheet, entitled "Peloton Events Download" contained 94,198 line items for each and every event for each shipment from October 1, 2021, through the present. The second spreadsheet entitled "Peloton Events Download April — Oct 2021" contained 179,769 line items for each and every event for each shipment from April 1, 2021, through October 1, 2021. The third spreadsheet contained 1,658 line items for the period from August 1, 2020, through April 1, 2021, and entitled "Peloton Events Download August 2020 to April 1 2021." (Tanner Decl. ¶¶ 14, 16, 19, 20, CXA-0243.)
67. Entries in the Events Download include notes regarding status of empty containers, including when they are returned, diverted, and available for pick up. (e.g., CXD-2646, lines 78, 146, 147, 148, 175, 185, 186, 187, 203, 223, 224, 478, 489, 490, 651, 688, 701, 714, 821, 831, 832, 834, 836, 838, 853, 855, 862, 899, 912, 915, 1001, 1007, 1032, 1035, 1045, 1047, 1967, 1068, 1070, 1240, 1303, 1487-1491, 1502, 1508, 1509, 1556, 1751, 1793, 1796, 1797, 1914, etc.)

J. Truckers

68. Flexport hired, paid, communicated with, and issued instructions and delivery orders to truckers to pick up Peloton's containers from the marine terminal and deliver them to Peloton's designated delivery location. (FLERPFF 52; Flexport 143(b)(6) Dep. 52:6-10, 55:7-10, CXB-0052, CXB-0055; Banaszak Dep. 161:1-3, CXB-0915.)
69. Although the truckers worked for Flexport, according to Peloton's standard operating procedure once a delivery order was issued, Peloton's warehouses communicated with the trucker to schedule an appointment time for the container to be dropped off at a location at a specific time for Peloton's warehouse to unload. Peloton then gave instruction to the trucker as to when the container was available for pick up. (Flexport 143(b)(6) Dep. 55:24-56:22, 96:4-96:14 CXB-0055-0056.)

K. Chassis

70. A chassis is a metal frame with wheels on which a container is loaded in order to be transported inland by truck. (Breck Dep. Tr. 178:16-20, CXB-1157; Majstorovic Dep. Tr. 96:11-16, CXB-1934; FLERPFF 117.)
71. Flexport charged a chassis rental rate on the shipments for which it provided drayage. Flexport did not own equipment but attempted to procure chassis from truckers who owned their own chassis and ocean common carriers. (Flexport 143(b)(6) Dep. 188:20-189:5, CXB-0188-0189; 2020 MSA, CXC-0041 at 7; 2021 MSA, CXC-0059 at 7; Banaszak Dep. 75:12-76:2, CXB-0829-0830.)
72. If the carrier or marine terminal operator were unable to provide a chassis then Flexport would request an extension of the last free day or waiver of demurrage and pass it on to Peloton. (Flexport 143(b)(6) Dep. 187:10-188:14, CXB-0187-0188.)
73. Flexport requested mitigation from the master carriers and marine terminal operators because they had the majority share of chassis available on the market, and there was a chassis shortage especially in the Port of Long Beach that increased chassis dwell time. Peloton also contributed to the chassis shortage because it had hundreds of containers sitting in their warehouse yards on chassis that could not be returned. (Flexport 143(b)(6) Dep. 187:10-25, CXB-0187.)
74. Peloton contributed to the chassis shortage because it had an influx of a massive number of containers coming in for which there was no room in its warehouse. Once available storage facilities were filled, a backlog would occur in the trucker's yard. As a result, at any given point Peloton had hundreds of containers sitting on chassis that could not be returned. (Breck Dep. 180:9-183:7, CXB-1159-1162; Banaszak Dep. 180:15-182:17, CXB-0934-0935.)
75. The chassis shortage contributed to the inability of Flexport's drayage carriers to timely deliver Peloton shipments to their final destinations. (Flexport 143(b)(6) Dep. 204:23-2026:6, CXB-0204-0206.)

L. Demurrage and Detention

76. The agreement between Peloton and Flexport provided that demurrage and detention would be assessed in accordance with Flexport's tariff. (Roche Dep. 279:15-280:7, CXB-3253-3254.)
77. Flexport's tariff establishes the amount of demurrage and detention. (Flexport 143(b)(6) Dep. 154:6-11, 164:13-165:25, CXB-0154, CXB-0164-0165.) The length of the free time period was determined by the master carrier or marine terminal operator. (Flexport 143(b)(6) Dep. 155:3-16, CXB-0155.)

78. Flexport had no written policy on the assessment of demurrage and detention beyond its rules tariff. Rather than receiving formal training on the assessment of charges, operations associates received recurring on the job training by shadowing senior operators. (Flexport 143(b)(6) Dep. 170:21-171:24, CXB-0170-0171.)
79. Flexport calculated demurrage and detention charges by preparing invoices in their CORE system, which populated charges beyond the expiration of free days based on Flexport's tariff, which were then reviewed by a person for any date errors. This review would include verifying vessel arrival date, container off-load date, free day, pick up from port date, and empty return date. Additionally, the person would review bills from the ocean carrier and waive or reduce charges when Flexport was responsible for a delay that was not Peloton's fault. This review was performed by reviewing the notes in CORE about the shipment, such as when a truck was unable to pick up a container. (Peckham Dep. 132:5-137:24, CXB-0630-0636.)
80. In reviewing demurrage and detention invoices for purposes of calculating charges, underlying email communications related to a particular shipment were also reviewed by a squad to determine why a container remained at port and could not be delivered or returned. The communications regarding the movement of containers were referenced by Flex ID number or container number. A search for email communications could be conducted by inputting the container number. (Peckham Dep. 164:25-167:9, CXB-0662-0665.)
81. When errors were caused by Flexport or a Flexport partner such that delays were not the fault of Peloton, a note would be entered into the CORE system so it can be considered at the time of invoicing for purposes of granting a waiver or discount. (Peckham Dep. 135:19-138:9, CXB-0633-0636.)
82. The assessment of demurrage and detention charges was the same for both port to port and door to door moves because they were not dependent of the type of service rendered. The responsibility for delivery of Peloton's cargo was dependent on the services requested by the client in the quote because Flexport offered additional services that could be requested by the client regardless of the type of service. Thus, Flexport may have been responsible for inland drayage on a CY-CY move because that service was requested in the quote. Similarly, Peloton was able to decouple the inland transportation on a port to door move and use a different provider. (Tanner Dep. 139:1-142:15, CXB-0408-0411, Majstorovic Dep. 95:3-21, CXB-1933.)
83. During the pandemic, Flexport did not alter its procedures for determining demurrage and detention charges. (FLERPFF 116.)

M. Delays of Final Delivery

84. Although Flexport arranged for a trucker to make final delivery of cargo to Peloton, a delivery appointment was first required to be made at Peloton's

warehouse. The truckers often had difficulty getting a response from Peloton or Peloton would request appointment times too far out because they were a couple of days or weeks in the future. (Peckham Dep. 106:24-109:4, CXB-604-607.)

N. Disruptions During COVID

85. During the COVID-19 pandemic, U.S. ports were suffering from supply chain disruptions from multiple causes, including “COVID-19, extreme weather events and the blockage of the Suez Canal.” These disruptions were also caused by a “shortage of truck drivers and truck chassis.” (FLERPFF 72; Smith Expert Report ¶ 16, CXD-1435; Tanner Dep. 117:22-118:6-14, CXB-0386-0387; Smith Expert Report ¶ 15, CXD-1435.)
86. During the pandemic, the entire shipping industry experienced problems with vessels at ports awaiting berthing, container shortages, chassis shortages, limited dock hours, limited truckers, limited drivers, and limited warehousemen or warehouse people. (Tanner Dep. 187:19-188:14, CXB-0386-0387.)
87. Flexport continually sought additional capacity for Peloton, even while other NVOCCs and carriers were rejecting bookings—and even while Flexport itself was rejecting shipments from other customers. (FLERPFF 80; Banaszak Dep. 121:14–122:9, 185:18–187:3, CXB-0875-0876, CXB-0939-0941.)
88. Flexport also attempted to obtain extensions of the last free day when possible and was sometimes but not always successful in doing so. (Flexport 143(b)(6) Dep. 210:9-23, CXB-0210.)
89. In a situation where a motor carrier was unable to pick up a container because no chassis was available, Flexport attempted to mitigate the demurrage by requesting the master carrier or marine terminal operator to waive the charges and pass it on to Peloton, but if a waiver was not granted the charges were assessed in accordance with the tariff. (Flexport 143(b)(6) Dep. 192:19-193:8, CXB-0192-0193.)
90. Flexport did not modify the fees it charged for D&D under its own rules tariff in light of the congestion and other circumstances arising from the pandemic. (FLERPFF 101; Tanner Dep. 177:13-178:20, CXB-0446-0447; Flexport 143(b)(6) Dep. 86:13-CXB-0086.)
91. Flexport communicated to Peloton on a regular basis any concerns it had regarding the status of container movement, which included emails on day-to-day operations that are visible on Flexport’s portal containing communications between Flexport and Peloton teams regarding delays in shipments. (Peloton 143(b)(6) Dep. 145:15-147:9, CXB-1632-1634.)

92. There were times during the backlog when Flexport asked if Peloton had plans to slow down production in response to blank sailings, and Peloton responded that it did not plan to slow down. (FLERPFF 208; CXE-0110).

O. Peloton Warehouse/IBAS Issues and Flexport Trucking Errors

93. On May 6, 2021, Peloton alerted Flexport by email of the upcoming blackout period for all SFO/FO warehouses and asked to review inbounds to avoid bottlenecks. This blackout period in which all SFO/FO locations were closed for receiving lasted from June 28 - July 6, 2021. (FLERPFF 205; CXE-0099.)
94. Peloton shipped a product called IBAS that they did not want delivered for a long period. The IBAS shipments sat at the port for a long time and there were large charges on these shipments because they could not be delivered. (Peckham Dep. 167:21-168:22, CXB-0665-0666.)
95. On May 11, 2021, Devon Gamba of Peloton sent John Antista of Peloton an email concerning the IBAS container backlog in Los Angeles and pending arrivals in May, stating that the cost of current IBAS containers pending delivery to Perris was \$12,395 per day. The breakdown of costs included yard storage and chassis charges for 82 containers in the amount of \$6,970 per day and detention charges in the amount of \$5,425 for 31 containers. (CXC-0714.) John Antista responded that day that Peloton was slowing down IBAS receiving as it is not needed at this time, that Peloton has a lot of freight arriving in the coming weeks, and that Peloton can ask Flexport for additional yard space if needed. (CXC-0713.)
96. On May 12, 2021, David Baitman sent an email to others at Peloton with the subject line "Peloton IBAS Container Backlog in Los Angeles / Containers arrived pending delivery & Containers Arriving in May," stating "We are paying \$12k/day in demurrage today. With 58 Prism containers arriving in Oakland in 2 days this is likely to more than double." (CXC-0713.)
97. On June 22, 2021, SFO Perris hit capacity and halted all inbounds for multiple days. Similarly, on August 12, 2021, Peloton halted all inbounds to Perris once again. (FLERPFF 206; CXE-0104; CXE-0108.)
98. On June 24, 2021, Peloton advised Flexport that it was running into very limited to zero capacity at SFO Perris again and to halt all inbounds today and possibly tomorrow as well. (CXE-0102.)
99. On June 29, 2021, Peloton complained to Flexport that misdeliveries by [trucking company] prevented Peloton from bringing containers from SFO Perris to the storage facility. In response, Flexport stated that [trucking company] does not have space in their yard to bring back the two IBAS containers from Perris, that they were working on a solution as soon as possible, and that Peloton would not be charged bobtail or dry run fees because that was a "Flexport trucking error." (FLERPFF 207; CXE-0085-0086.)

100. On June 30, 2021, Flexport advised Peloton that the storage facilities being used in LA for IBAS containers were maxed out, that Corona was capped at 53 containers in storage, and that the trucking company warehouse was maxed out with the 106 containers then in storage. It also stated that it had reaffirmed with the trucking company the need to add all containers to the delivery sheet for cargo routed to Perris so that Flexport can confirm the SKU is not IBAS. (CXE-0085.)
101. On July 7, 2021, Flexport advised Peloton that it was resurfacing the Mira Loma Ingram Micro unloading delays and requested Peloton's support to escalate to Ingram Micro to help unload the 45 containers at their facility based on the ocean carrier's request for assistance with containers that have been out of port for a long time, some over a month. On the same date, Peloton stated it would escalate the request and update the following day. (CXE-0116.)
102. As of July 7, 2021, Peloton had 154 containers in yard storage pending delivery to Perris, 293 containers sitting at the Port of LA that had not outgated yet, and 350 containers arriving at the port in the next two weeks. (FLERPFF 212; CXE-0129.)
103. On July 15, 2021, at 3:00 pm Peloton advised Flexport of a bottleneck at SFO Perris of 44 empty containers occupying 65% of Peloton's yard space that had not been picked up by Flexport's trucking company despite multiple action requests over the past two days, and that SFO Perris has asked to stop all inbounds until they were cleared up. The email also stated that congestion at the port of LA was also impacting empty returns as SSLs are not posting locations for large numbers of containers, which the trucker was attempting to resolve. (CXE-0193.)
104. On July 15, 2021, at 4:13 pm, Flexport responded that drivers had been freed up the day before to drop and switch empties from Perris but there was no room at the trucking company's storage yards to bring the empties as they are at capacity with loaded containers. (CXE-0192.)
105. On July 21, 2021, Flexport employee Reid Breck advised Peloton via email that a particular ocean common carrier was threatening to cut Peloton's TWN-LA allocation to zero if empties cannot be returned to port, noting that containers sitting out at port for an extended period of time reduce utilization and contribute to the global equipment shortage. The email stated that the 36 oldest containers at Mira Loma have accumulated over \$300,000 in accessorial charges through July 20, and requested specific actions for Peloton to take to address the issue. The email states that it followed a phone call earlier that date discussing the Mira Loma/Rancho Backlog that had accumulated and was intended to confirm a clear action plan with Peloton and Ingram Micro. (CXE-0121.)
106. By email dated July 21, 2021, Reid Breck at Flexport sent David Baitman at Peloton an email with the subject line "[Action Required peloton – Flexport – Los

Angeles Backlog” and an attachment titled “Serialized Containers Pending delivery to Perris.xls.” The email stated:

As discussed on our daily calls and over email the past few weeks, Peloton cargo has accumulated in the Los Angeles area due to decreased inbound capacity at Perris, shutdown of IBAS inbounds, and significant import volume.

I'm hoping we can use the below information to work together on a solution to decrease the costs to Peloton and move through the backlogged cargo.

LA Backlog Callouts:

- 154 containers are in yard storage in LA pending delivery to Perris. 62 of which are IBAS with no timeline on when Perris can begin receiving.
- 293 containers arrived at the port of LA and have not gated out
126 of them are routed to Perris (mix of BK, IBAS, PL-01)
- Roughly 350 containers are arriving to port in the next 14 days
73 of them to Perris
58 to Vernon
- This backlog of cargo has maxed out our yard storage space as mentioned via email and will in turn, further delay outgating cargo from the port

Perris Current State:

- The backlog began to accumulate when IBAS was slowed down and was exacerbated by the 10 day Peloton wide warehouse closures.
- Flexport has gone back and forth between three delivery types requests
No deliveries due to no empties and space
1 to 1 deliveries (for each empty deliver a full)
Deliver as many as possible
- These three strategies shift based on guidance from Perris and the supporting teams to best support Perris.
- Last night 4 containers were rejected as the yard is out of space and no empties to match back to
- Today we were advised that there is construction going on at Perris so we will deliver 2 containers to match the empties noted.

Next Steps:

- Flexport just sent Peloton the list of serialized freight pending delivery to Perris (attached). Katie is working to confirm where reroutes are possible to reduce the backlog.
- Requesting Peloton to confirm where Flexport should deliver Perris bound IBAS cargo to for deliveries starting as early as Friday. (Vernon, Linden, Des Moines?)
- Flexport to follow up on tomorrow's call with more updates and insight gained in the next 24 hours.

(CXE-0129-0130.)

107. On July 22, 2021, Reid Breck at Flexport advised his Peloton team via email that Flexport currently had 226 containers of IBAS cargo in yard storage in NJ and LA as of July 21, stating that more cargo is routed to Flexport's Florence, NJ location over the coming weeks, and reconfirming that there is no more space in the LA market for IBAS storage but they can accept 240 containers in Florence, NJ. (RX232.)
108. On August 5, 2021, Reid Breck at Flexport advised Peloton via email of containers sitting out of port beyond the 10 free days, noting that at Ingram Micro (Mira Loma/Rancho) there were 51 containers delivered that have been out of the port for more than 20 days with total charges of roughly \$400,000. This included 2 containers that had been out for 56 days and 47 days, respectively: OOCU4978566 and OOCU4960891. The email stated that "to allow Flexport to continue to support Peloton's needs for additional space, we really need Peloton's support in unloading containers and making them ready for pickup." The email directed Peloton to work with Ingram Micro to determine a plan and timeline for unloading and making the cargo available. (CXE-0119-0120.)
109. On August 5, 2021, David Baitman, Director of NA Logistics at Peloton, responded as follows: "We are aware of the issue and attempting to procure more warehouse space across our networks. Unfortunately, we do not have floor space to unload weights and they cannot go in our racking so it makes this issue extra challenging. We're working on approval for more storage capacity on several fronts. Please bear with us. We are keenly aware of the costs. (CXE-0119.)
110. On August 10, 2021, Devon Gamba at Peloton advised Nick Peckham at Flexport that SFO Perris confirmed capacity is too tight to receive containers, and that it was assessing how long this will last and the impact on future inbounds. Nick Peckham responded: "As discussed on the call, we have eight Titan containers in our trucker's yard ready to deliver to Perris, but if we halt deliveries for an

extended period of time, we put ourselves at risk of creating a backlog of these skus (there is currently a backlog of IBAS, treads, and certain accessories) in our trucker's yard, which will further reduce our ability to pull new containers from the port due to space constraints, which will lead to increased demurrage costs.” (CXE-0108-0109.)

111. On September 9, 2021, Peloton entered into a destination management contract with a third party with the goal of “getting your containers emptied more efficiently and returning them and your chassis back to you faster.” (FLERPFF 214; CXE-0132; Gadhok Dep. 79:8-80:11, CXB-2425.)
112. Warehouses other than those used by Peloton experienced capacity issues during the relevant time frame. On September 22, 2021, Reid Breck of Flexport advised Peloton’s Angad Gadhok that it had Peloton cargo, mostly IBAS, in storage across two warehouses in LA and one in NJ, but that they were maxed out on space and that warehouse space in the Southern California region was at 99-100% capacity. (FLERPFF 215; CXE-0095; Baitman Dep. 116:9-11, CXB-2724.)
113. On November 3, 2021, Max Janik at Flexport sent the following email to Katie Eiden at Peloton: “As discussed in our call yesterday, there are currently 68 IBAS containers out of the port that still need a storage facility given the IBAS production shutdown. All containers are currently in Flexport trucking partner yards and are incurring detention, chassis, and yard storage fees. Please let us know if you have any open storage available in a Peloton warehouse that we could divert these containers to. If there is no storage capacity, we will continue to hold in yard storage until space is opened up. I have attached the full list of containers to this email for your reference.” (RX236.)
114. On November 28, 2021, Katie Eiden at Peloton advised Nick Peckham at Flexport by email that it was planning to bring on two distribution facilities in the next week or so to help with the container backlog and that Peloton planned to be updating routing guidance with reroute requests to these locations in next week’s routing. (CXE-0091.)
115. On December 3, 2021, Katie Eiden of Peloton sent an email to David Baitman stating that Peloton was projecting to have unloaded all containers out of backlog the week of 1/10 based on certain assumptions; the warehouse network will hit capacity 1/17; and the West coast capacity continues to be tight and will need to rely on Des Moines and Linden to support. (RX223-224.)
116. On December 19, 2021, David Baitman at Peloton sent an email to other Peloton employees advising them of three containers over 70 days old at Carteret and Linden that were threatening Peloton’s allocation with another ocean common carrier if Peloton was unable to get them returned, and directing other employees to find a way to receive them and send the empty return notice to a third party entity. The three containers are identified in the email as TRHU5435807,

GCXU5318511, and TEMU7142609. (CXC-0853-0855.) Detention charges for these three containers in the amounts of \$24,515, \$18,950, and \$24,780 are included in Peloton's damages calculation. (Aggregate Shipping Details Spreadsheet at line 4266, 4267, and 4233, CXE-0001.)

117. On January 21, 2022, Craig Juergens at a third party logistics company advised Peloton in an email of significant issues arising due to a backlog of containers on chassis at Linden waiting to be unloaded, which limited the availability of chassis needed to pull more than 115 Peloton containers arriving next week and with more than 50 needing to be recovered at the terminal. The third party logistics company asked the Peloton team whether it was possible to ground containers in its trucker's yard to free up chassis until they can be unloaded at Linden. (RX228.)
118. On April 22, 2022, an internal Peloton email asked if Peloton was able to work on unloading dropped containers and noted that Peloton had completely paused unloading them at Hesperia DC and was incurring heavy daily detention cost of dwelling containers, especially the ones with 100+ days. (CXC-0704.)
119. On April 23, 2022, Jose Carrillo at Peloton reported that Peloton had struggled putting the container loads away for two weeks and had been leaving loads overnight on the dock in order to put as many away before inbounds started arriving the next day, leaving 7-14 loads on the docks daily. He stated that there were too many loads coming in and not enough workers to get the job done to keep up with the volume. (CXC-0702.)
120. To address Peloton's cargo backlog that accumulated due to warehouse issues and exacerbated supply chain shortages due to coveted chassis sitting on trucks in valuable yard space that created bottlenecks, Flexport prioritized Peloton's cargo and onboarded as many drayage providers as possible to ensure capacity for Peloton. (Breck Dep. 109:1-110:8, CXB-1088-1089.)
121. During this backlog, truckers were rejected from the warehouses when attempting to drop off containers due to a large number of empties in the yard or otherwise a lack of capacity to accept additional containers. (FLERPFF 190; CXE-0070-0071; CXE-0073-0074).
122. The backlogs at Peloton and third-party warehouses caused the delayed return of many empty containers, which threatened Peloton's allocation with certain ocean carriers who threatened to cut allocations if containers were not returned. (FLERPFF 210; CXE-0114; CXE-0119-0120.)
123. Some of the reasons cited for the backlog included "decreased inbound capacity at Perris, shutdown of IBAS inbounds, and significant import volume." (FLERPFF 213; CXE-0129.)

124. During this backlog period, the teams at Peloton and Flexport had multiple calls to discuss and attempt to resolve these backlogs. (FLERPFF 211; CXE-0126; CXE-0128.)

P. Billing and Invoices

125. Under Flexport's rules tariff, Flexport does not pass through D&D charges from service providers. Instead, it applies its own D&D rates and charges to customers like Peloton. (FLERPFF 92.)
126. Flexport assessed Peloton D&D based on its tariffs, MSAs, NRAs, and contracts. Flexport's rules governed how it assessed D&D. (FLERPFF 81; Tanner Dep. 118:25-122:11, CXB-0387-0391.)
127. Flexport's free time periods were set in accordance with its tariff rules, which were based on the MSA or NSA that was in effect. (Flexport 143(b)(6) Dep. 86:18-25, CXB-0086.)
128. Peloton did not receive invoices directly from Flexport's service providers for any charges; all billing was handled exclusively by Flexport. (FLERPFF 61; Peckham Dep. 67:13-68:14, CXB-0565-0566; Banaszak Dep. 27:11-14, CXB-0781.)
129. Peloton used a software platform called Coupa to manage its accounts payable, including tasks such as tracking invoices and payments of D&D charges. Invoices were posted on the system and could be approved or rejected on the system. (FLERPFF 223, 226; Baitman Dep. 60:14-61:8, CXB-2668-2669.)
130. The Coupa file includes the following fields:
- a. Invoice #
 - b. Supplier
 - c. Created Date
 - d. Total (amount)
 - e. Status
 - f. Delivery Method
 - g. Paid (true or false).
- (FLERPFF 225.)
131. Under ordinary circumstances, Peloton would audit an invoice when it was received and either approve the invoice or reject it. (FLERPFF 231; Baitman Dep. 61:9-17, CXB-2669.)
132. During the pandemic, Peloton paid invoices as it received them and audited them after the fact. (FLERPFF 234, Baitman Dep. 21:25-22:10; 61:9-25, CXB-2629-2630, CXB-2669.)

133. From June of 2020 to June of 2022, every Peloton shipment received an invoice, although there may have been multiple invoices for additional services offered after the fact. Although consolidated invoices were also sent to Peloton, they were in addition to the individual invoices maintained in CORE. (Tanner Dep. 193:18-194:19, CXB-0462-0463.)
134. Flexport sent individual invoices to Peloton prior to sending consolidated invoices. (Peckham Dep. 181:24-182:3, CXB-0679-0680.)
135. Peloton reviewed and approved any Flexport invoice that was submitted and uploaded into Coupa. (Peloton 143(b)(6) Dep. 241:13-17, CXB-1727.)
136. Consolidated invoices were provided at the specific request of Peloton and were not provided to any other Flexport customer. (Banaszak Dep. 137:4-12, CXB-0891; Breck Dep. 224:22-225:9, CXB-1203-1204; Nable Dep. 176:2-12, CXB-1427.) Examples of the consolidated invoices show that they contain charges for multiple containers, sometimes as many as eight. (CXE-0002-0003, CXE-0006-0007, CXE-0010-0012, CXE-0015-0016, CXE-0019, CXE-0168, CXE-0171-0172, CXE-0179-0180, CXE-0183, CXE-0186, CXE-0228, RX68, RX71, RX74, RX77-78, RX81, RX84-85, RX88, RX91, RX94, RX97-98, RX101, RX104, RX107, RX110, RX113, RX116-117, RX120, RX123.)

Q. Audit of Invoices

137. In performing the manual audit of Flexport invoices, Peloton looked at the invoice documents, which included the Flex IDs and individual invoices, and then lined up relevant dates, including gate-in date, goods receipt in warehouse date, empty notification, and empty return, to look for excessive periods of time between the two. Peloton also looked at container availability and container pickup date to see if the time was excessive. During COVID, Peloton did not have sufficient time or a software solution to look at data within 60 days of receipt of an invoice on the thousands of containers that were arriving on a given weekend. (Baitman Dep. 81:2-82:10, CXB-2689-2690.)
138. In preparation for the audit, Peloton reviewed Flexport invoices, Flexport's tracking portal, email communications between Flexport and Peloton, email communications between Peloton associates, and Blue Cargo, a third party software tool that showed the availability of appointments at terminals. Blue cargo provided information including when a specific container was out-gated and in-gated into the terminal. (Peloton 143(b)(6) Dep. at 31:21-32:6, CXB-1518-CXB-1519; Beyar Dep. at 65:25-66:13, CXB-2112-2113; Baitman Dep. at 175:17-176:18, CXB-2783-2784.)

R. Peloton's Role in Causing Charges

139. After reviewing the charges assessed against Peloton in preparation for deposition, Flexport's corporate representative concluded that Peloton extensively

held containers for numerous days past the free time in storage at yards, in storage at their own warehouse, and were accruing detention in vast amounts because they were unable to unload and make the containers available for return, and they were assessed the detention and demurrage charges based on Flexport's tariff. (Peloton 143(b)(6) Dep. 39:10-21, CXB-0039.)

S. Invoices Not in Compliance With OSRA

140. Peloton's proposed findings of fact only reference one invoice in support of the proposition that Flexport's invoices did not comply with OSRA 2022 requirements, and does not specify how that one invoice is deficient. (PELPFF 257; CXE-0264.)
141. Exhibit A to the Amended Complaint contains a list of the charges at issue and includes: Flex ID number, master bill of lading number, invoice number, invoice issue date by year, invoice issue date by month, and total D&D charges. The list does not include the day of the month the invoice was issued. (Amended Complaint Exhibit A.)
142. Of the 12 invoices listed on Exhibit A that were issued on or after the effective date of OSRA on June 16, 2022, that is July of 2022 or later, Peloton only identified one that allegedly does not include all the information required by OSRA 2022, and does not state why the invoice is deficient. (PELPFF 257, CXE-0264.)

T. Flexport's Limited Resolution Process

143. Flexport's dispute resolution process consisted of its portal and the information provided in its NRAs and website. (Tanner Dep. 172:21-173:17, CXB-0441-0442.)

U. Peloton Did Not Formally Dispute Charges at Issue

144. Peloton audited Flexport invoices after they had been paid, but did not file a formal claim with Flexport to dispute the charges. (Baitman Dep. 19:13-21:15, CXB-2627-2629.)
145. Peloton reviewed charges after the fact and found what it determined to be discrepancies, but did not provide Flexport with a list of the shipments and invoices it disputed. Rather Peloton "spoke high level about a handful of examples that we saw as patterns throughout the detention and demurrage charges." (Beyar Dep. 160:4-163:10, CXB-2207-2210.)

V. Transportation Charges

146. Between 2020 and 2022, Peloton paid Flexport more than \$188 million in charges for transporting its cargo, of which a significant portion was ocean freight. (FLERPFF 29; Smith Expert Report ¶ 14, CXD-1435.)

W. Flexport's Limited Formal Employee Training

147. The only employee training materials produced by Flexport in discovery were four partial videos, each approximately one minute long, on the topics of Demurrage, Detention, Empty Returns and Proofs of Delivery, and Arrival/Delivery Review, none of which discuss the Incentive Principle or specific factors for employees to consider in assessing the reasonableness of D&D charges. (FLERPFF 84.)
148. Flexport's detention training video expressly states that Flexport "should try to avoid detention as much as possible, as the daily charges will grow to become costly and the client will need to pay." (FLERPFF 85.)

X. Expert Testimony

1. Damages

a. Gregory Smith on behalf of Peloton

149. Gregory Smith is the Managing Director of Berkeley Research Group. He is a Certified Public Accountant, a Chartered Global Management Accountant, and a Master Analyst in Financial Forensics. He has over thirty years of accounting consulting and business experience. He has experience quantifying damages in commercial disputes. He has conducted damages studies based on various economic damages models. He has experience analyzing financial and economic issues related to the operations of companies participating in the transportation industry including ocean shipping port operations and inland transportation. He has authored articles and taught seminars relating to damages and valuation. He coauthored a leading treatise on calculating damages in intellectual property matters published by Thomson Reuters. He has testified as an expert on damages and other economic issues in matters before state and federal courts and federal agencies. (Smith Expert Report ¶¶ 1, 3, and 4, CXD1430-1431.)
150. In his original expert report, Gregory Smith did not analyze or determine whether Peloton may have played some role in any delays leading to the demurrage, detention, and storage charges for any of the more than 7,000 shipments identified in Exhibit 1 to his report. (Smith Expert Report ¶ 38, CXD-1443-1444.) He determined that Flexport transported Peloton's cargo under a "Store Door" arrangement. (Smith Expert Report ¶ 13, CXD-1434-1435.)
151. In his supplemental expert report, Gregory Smith calculates demurrage, detention, and other charges for each Flexport Shipment ID. The report includes the invoice date and month for each Flexport Shipment ID referenced. It does not include the container numbers associated with a particular Flexport Shipment ID. It does not specify the date a particular container arrived at port, the date that free time expired, the date the container was picked up or returned, the dates for which charges were assessed, or the conditions on the dates charges were assessed that

resulted in the assessment of charges. (Smith Expert Report Supplemental Exhibit 3, CXD-1670-1728.)

152. Gregory Smith's supplemental expert report shows the number of times that the following search terms applied to the Events Downloads indicate that a particular event had been entered for each Flexport Shipment ID: No chassis; inland carrier delay, congestion, no appointment, Peloton issue. It does not identify the container the event impacted, the date on which the event occurred, or the charges imposed as a result of the event. (Smith Expert Report Supplemental Exhibit 3, CXD-1670-1728.)
153. Exhibit 3 to Smith's Supplemental report analyzes shipments for each Flexport Shipment ID invoiced from 2020-2022. It lists the amount of demurrage, detention, yard and warehouse charges, and total damages for each. It also lists the number of events for each of the following search terms applied to the Events Downloads produced by Flexport in discovery: no carrier delay, congestion, no appointment, Peloton issue. It does not identify the dates that containers were discharged, picked up, delivered, or returned. It does not identify the dates for which charges were assessed. It does not list the dates that the referenced events occurred. (Smith Supplemental Report Exhibit 3, CXD-1669-1726).
154. In his supplemental expert report, Gregory Smith allocated demurrage, detention, and storage charges as follows: \$26 million in charges with only indications of Flexport responsibility; \$5.8 million in charges with insufficient information to determine that Peloton had any responsibility for the delays; \$1.7 million in charges with some indications of responsibility of both Peloton and Flexport; and \$134,520 of charges with only indications of Peloton responsibility. (Smith Supplemental Expert Report ¶ 7, CXD-1659-1660.)
155. Exhibit 4 to Smith's Supplemental report is a summary of the demurrage, detention, yard storage, and warehouse charges. (Smith Supplemental Expert Report Exhibit 4, CXD-1727.)

2. Liability

a. John McCown on behalf of Peloton

156. John McCown has had more than four decades of operating and investment experience related to the container shipping industry since receiving his MBA from Harvard Business School in 1980. He is a Non-Resident Senior Fellow at the Center for Maritime Strategy and has focused his research and writing on the commercial shipping and maritime commerce. He serves as Board Advisor to the National Association of Waterfront Employers, the trade association representing the interests of marine terminal operators stevedoring companies and other waterfront related employers on all coasts primarily involved with the container sector. From 1980 to 1988, he held various planning and finance positions at McLean Industries, Inc., the parent of US Lines Inc., which at the time was one of

the largest container shipping companies in the world. In 1992, he co-founded the U.S. flag container carrier Trailer Bridge, Inc, and served as CEO until 2008. Trailer Bridge was an integrated carrier that in addition to owning seven vessels also owned and operated hundreds of over the road tractors and provided a completely integrated service to customers using its own assets. McCown Report ¶¶ 4, 5, 6, 8, CXD-1729-1730.)

157. McCown's opinions include: Flexport was providing store door service; Flexport was operating as a common carrier and not a broker or agent with respect to Peloton cargo; Flexport's D&D was structured to generate profit, not to promote freight fluidity, and contrary to long-standing industry practices and the FMC's guidance that the primary purpose of demurrage and detention is to incentivize the movement of cargo; and Flexport's D&D charges were excessive and unreasonable, and counter to accepted shipping industry practices. (McCown Report ¶¶ 26-29, CXD-1734-1735.)
158. McCown states that because Flexport was providing store door services it was responsible for all D&D by default unless it can show specific reasons that Peloton was actually or solely responsible for the delay. (McCown Report ¶ 55, CXD-1740.)
159. McCown states that Flexport's D&D revenue for 2020 through 2022 was 17.7 higher than that of the overall industry. (McCown Report ¶ 64, CXD-1743.)
160. McCown states that Flexport's D&D rate is unreasonable due to the catchall provision providing that Peloton is responsible for all carryover charges to the extent that the rate charged by the OCC exceeds the rate charged by Flexport. (McCown Report ¶¶ 68, 69 CXD-1744-1745.)
161. McCown states that Flexport's D&D charges were excessive and unreasonable because they were structured to ensure profit without analyzing the amount of profit actually realized by Flexport on the shipments at issue. (McCown Report ¶ 70, CXD-1745.)
162. McCown states that charging D&D to a party that is not responsible for picking up or moving the container does not incentivize the movement of cargo. (McCown Report ¶¶ 73, 74, CXD-1746.)
163. McCown states that Flexport's D&D charges were unrelated to any actual cost or lost opportunity costs. (McCown Report ¶ 75, CXD-1746.)
164. McCown states that when incentives no longer function because shippers are prevented from picking up cargo or returning containers within the allotted time charges should be suspended. (McCown Report ¶ 81, CXD-1747.)

b. Richard Roche on behalf of Peloton

165. Richard Roche is Senior Vice President at Mohawk Global Logistics Corp. in Syracuse, NY, where he has been employed for the past 15 years. Prior to that, he was President and co-owner of Diplomat Global Logistics from 2001 through 2009. While at Diplomat Global Logistics, he was the qualifying officer designated to hold the license issued by the Federal Maritime Commission for that business. From 1994 to 2021, he worked at a similar company called Distribution services Ltd. in sales and ultimately in the role of Regional Manager. At each of these companies he negotiated and signed service contracts with ocean carriers on behalf of the company. All three companies offer a similar menu of services as an ocean transportation intermediary for arranging international ocean and air shipments for clients. Prior to the last thirty years working as a freight intermediary, he had five years of experience with Hapag-Lloyd (America) Inc., an ocean carrier that operates cargo ships. (Roche Report CX D-0001.)
166. Roche states that Flexport provided door delivered end-to-end transportation “store door” services for Peloton. (CXD-0010 and 0014).
167. Richard Roche’s opinion is that as an NVOCC Flexport falls under the FMC’s jurisdiction all the way to the door, which is what Flexport quoted on a port-to-door or a store-door basis. He disagrees with Kardian’s opinion that Flexport was operating as a property broker when it handled the inland transportation, not as an NVOCC. (Roche Dep. 293:6-22, CXB-3267.)
168. According to Richard Roche, Flexport focused on counting the number of days for demurrage and detention, regardless of the underlying cause, and was required to determine the underlying causes of any delay. (Roche Dep. 203:4-18, CXB-3177.)
169. Richard Roche admits that he determined that there is evidence that Peloton was responsible in some instances for delay and would be responsible for resulting demurrage and detention charges in those instances. (Roche Dep. 254:8-20, CXB-3228.)
170. Richard Roche’s opinion is that under the totality of the documents and how the cargo was quoted as port to door that Flexport was acting as an NVOCC all the way through to the final destination. (Roche Dep. 296:20-297:21, CXB-3270-3271.)
171. Richard Roche’s opinion is that Peloton had the responsibility to timely unload the containers and set them up for return to the port within the established free time, or they would face the possibility of demurrage if they delayed for whatever reason, but they were not responsible for moving the containers from the terminals or returning the empty containers. He admits that there were times that Peloton through its own actions or inactions failed to unload a container in a

timely manner and have them available for pick-up and return at the port, and was responsible for resulting demurrage and detention. (Roche Dep. 267:15-268:11, CXB-3241-3241.)

c. Gary Kardian on behalf of Flexport

172. Gary Kardian is the founder of Kardian Ocean Shipping Consulting, LLC, an ocean shipping consulting company that provides services to various stakeholders regarding, inter alia, FMC compliance and industry related issues. Prior to that he served for 12 years as the Director of the Office of Service Contracts & Tariffs at the FMC to ensure OCC and MTO compliance under the standards of the Shipping Act of 1984 and CFR regulations. He served as FMC's expert witness for D&D. He also worked in CADRS during his last years. Prior to the FMC, he worked in a variety of positions for VOCCs. Has over 50 years of experience in the ocean shipping industry. (Kardian Report, CXD-2648-2649.)
173. Kardian states that the MSA provided for CY/CY moves and ground rates for trucking charges that were separate from the ocean service and therefore not regulated by the FMC. He asserts that in order to be regulated by the FMC, Flexport would have had to issue a through bill of lading via a through rate on a door basis. He states that from March of 2020 through the end of 2023, no VOCC or NVOCC would bear the risk of issuing a door bill of lading due to port congestion, chassis issues, and limited trucking resources. He states that 46 C.F.R. § 520.2 defines through rate as a single amount charged by a common carrier in connection with through transportation. (Kardian Report ¶ 14, CXD-2655.)
174. Kardian states that Flexport provided trucking services as a property broker, not as an NVOCC. He states that all BL's were issued on a CY/CY basis and that Flexport's role as an NVOCC ended at the port, and that this was addressed in the MSA. He states that he reviewed hundreds of NRAs and HBLs and did not see a single NRA or HBL that indicated a door shipment. (Kardian Report ¶16, CXD-2657-2658.)
175. Kardian asserts that the MSA states that drayage and customs related charges are provided for convenience only and not subject to FMC regulations. He notes that it provides separate rates for ocean and trucking services. He notes that all delivery orders state that Flexport is a property broker that arranges surface transportation by motor carrier in the US. He states that every invoice provides that US trucking services are provided by Flexport as a property broker. (Kardian Report ¶ 18, CXD-2658-2659.)
176. Kardian states that CY stands for container yard shipment in which the carrier's responsibility ends in a container yard facility while the customer is responsible to arrange transportation for the remainder of the journey. In store door moves, the carrier bears the responsibility of transporting the containers from the load address to the export port and/or from the discharge port to the container delivery

address. Pursuant to the MSA and NRAs reviewed, Flexport only provided CY/CY shipments. He states that virtually all US container ports outside of Alaska and Hawaii were at or near gridlock from approximately June 2020 through the end of 2023. (Kardian Report ¶ 19, CXD-2659-2660.)

177. Kardian states that he spoke regularly to BCOs, NVOs, VOCCs and MTOs during 2020, 2021, and 2022 to collect first-hand knowledge of what was going on in the industry. He states that there was no transportation company that was able to provide standard industry service during the pandemic. He states that it was just not practical for any NVOCC to put themselves in jeopardy and take on the liability to offer door services after the pandemic began up through the end of 2023. (Kardian Report ¶ 19, CXD-2661-2662.)
178. Kardian states that Peloton confuses the responsibilities to arrange for inland shipping transportation with the guarantee to absorb all costs associated with the same. (Kardian Report ¶ 20, CXD-2663.)
179. Kardian states that the FMC has jurisdiction over Flexport as an NVOCC for their actions as a common carrier and that any allegations regarding failures to timely remove or deliver containers is not within the FMC's authority as the parties expressly set forth in the MSA. He states he dealt with three very large importers who have some of the most sophisticated supply chains in the world and reliable dedicated truckers, but despite that they incurred over \$100 million in demurrage when they had previously paid less than \$1 million annually. He states that Peloton and Flexport had daily meetings and that Peloton was well aware of the status of containers through emails, real time updated Google spreadsheets, and real time status updates in CORE. (Kardian Report ¶ 23, CXD-2664-2665.)
180. Kardian states that because Flexport issued HBLs on a CY/CY basis Peloton was responsible for pickup of the import load and return of empty container back to the terminal or depot. (Kardian Report ¶ 27, CXD-2667.)
181. Kardian states that Peloton had visibility through CORE to review and question any invoice in real time. He states that it is clear from David Beyar's testimony that Peloton had an ERP system showing all the details of each container and had the ability to review invoices for accuracy. (Kardian Report ¶ 29, CXD-2669.)
182. Kardian states that Flexport was responsible for CY/CY service from port of origin to port of discharge. (Kardian Report ¶ 30, CXD-2670.)
183. Kardian questions the plausibility of Peloton's claim that it was provided store door terms given that it never challenged any of the D&D charges. (Kardian Report ¶ 30, CXD-2672.)
184. Kardian states that during the relevant timeframe the dispute resolution requirement of 46 C.F.R. § 545.5(d) applied to steamship lines—not NVOCCs—

and that once OSRA 2022 was enacted Flexport did in fact implement a dispute resolution policy. (Kardian Report ¶ 30, CXD-2672.)

185. Kardian states that the MSA required Peloton to dispute any item on an invoice in writing within a specific number of days. He also states that Flexport was at the mercy of the MTOs and had no control over the decision to extend free time or waive charges. He also states that Flexport often arranged for pre-pulls of containers with drayage to trucker's yard when the designated Peloton warehouse was unable to receive containers. (Kardian Report ¶ 30, CXD-2673.)
186. Kardian states that Peloton kept containers at its facilities for weeks and sometimes months at a time, and that Flexport advised Peloton it was in danger of losing its space allocation on the steamship lines due to Peloton's failure to return the containers. (Kardian Report ¶ 30, CXD-2674.)

d. Richard Roche rebuttal of Gary Kardian on behalf of Peloton

187. Richard Roche has six rebuttal opinions:
 - I. Kardian's opinion that Flexport operating as an FMCSA property broker handled inland transportation not as an NVOCC is incorrect because it fails to recognize Flexport was responsible for transporting Peloton shipments from origin to inland destination.
 - II. Kardian's opinion that all House BLs were issued on a CY/CY basis, therefore Flexport's role as an NVOCC ended at the port fails to account for the representations and documents issued by Flexport that show it was committed to and did provide door delivery services.
 - III. Kardian's opinion that it was Peloton itself that caused the delays is not based on facts in the record and fails to consider when Flexport and its subcontractors were responsible for the delay.
 - IV. Kardian's opinion that Flexport took seriously their responsibilities to review invoices before submitting them to Peloton for payment is irrelevant to whether Flexport met its obligations to assess the underlying cause of demurrage and detention charges, an obligation the record shows Flexport failed to meet.
 - V. Kardian's opinion that COVID excused Flexport's failure to perform directly contradicts the incentive principle in the FMC's Interpretive Rule.
 - VI. Kardian's opinion that reviewing and paying invoices showed Peloton had accepted and was responsible for all demurrage and detention charges and that the charges were reasonable is not based in fact.

(Roche Rebuttal Report Summary of Rebuttal Opinions, CXD-2469-2470.)

188. Roche states that documents show that Flexport provided through transportation despite that it did not offer a through rate. (Roche Rebuttal Report ¶¶ 25 and 26, CXD-2477.)
189. Roche states that Flexport may have handled the inland trucking as a property broker, but Flexport as NVOCC issued D&D charges based on their governing tariff rules. (Roche Rebuttal Report ¶ 35, CXD-2480.)
190. Roche states that Flexport charged D&D as an NVOCC under its tariffs and that those charges must be reasonable. (Roche Rebuttal Report ¶ 36, CXD-2480-2481.)
191. Roche states that Flexport was responsible for providing chassis and for removing Peloton containers from the terminals, delivering them to their final inland destination, and returning the empty containers, and that Peloton's corporate designee testified that it expected Flexport to take on any accessorial fees when Peloton did not contribute to delays. (Roche Rebuttal Report ¶¶ 37, 38, CXD-2481.)
192. Roche states that Flexport was responsible for obtaining chassis, arranging drayage, and making appointments, and that its practice was to charge Peloton without regard to the cause of the delays. (Roche Rebuttal Report ¶ 45, CXD-2483.)
193. Roche relies on Events Download to support the proposition that Flexport was responsible for multiple categories of delay. (Roche Rebuttal Report ¶¶ 51 and 52, CXD-2483.)
194. Roche states that D&D was charged on door moves for which Flexport was responsible for the delays due to congestion, lack of appointments, or other events beyond Peloton's control. As the common carrier, Roche asserts that Flexport was responsible for D&D when the charges would not incentivize the movement of cargo. (Roche Rebuttal Report ¶ 53, CXD-2484.)
195. Roche states that under the interpretive rule effective May 18 2020, Flexport had an obligation to ensure that the charges are serving their primary purposes as a financial incentive to promote freight fluidity. (Roche Rebuttal Report ¶ 55, CXD-2483.)
196. Roche states that effective May 18, 2020, Flexport was required to have a reasonable dispute resolution policy under 46 C.F.R. § 545.5(d). (Roche Rebuttal Report ¶ 57, CXD-2484.)

197. Roche states that 46 C.F.R. § 545.5(d) subjects Flexport to a higher standard in assessing its own D&D. (Roche Rebuttal Report ¶ 58, CXD-2483.)
198. Roche states that pursuant to 46 C.F.R. § 545.5(d) Flexport is subject to the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practice and regulations regarding demurrage and detention billing. (Roche Rebuttal Report at ¶ 58, CXD-2485-2486.)
199. Roche states that Flexport was required to evaluate the underlying circumstances to determine responsibility for the delay. (Roche Rebuttal Report at ¶ 61, CXD-2486.)
200. Roche states that Flexport only evaluated charges for date accuracy. (Roche Rebuttal Report at ¶ 62, CXD-2487.)
201. Roche states that it is unreasonable for Flexport to only grant waivers of free time when the MTO or VOCC granted a waiver given that charges were based on Flexport's own tariff. (Roche Rebuttal Report at ¶ 63, CXD-2487.)
202. Roche states that underlying causes are Flexport's responsibility as a common carrier when delivering containers door to door. (Roche Rebuttal Report at ¶ 65, CXD-2487.)
203. Roche states that delays caused by chassis shortages and lack of appointments were the fault of Flexport. (Roche Rebuttal Report at ¶ 66, CXD-2487-2488.)
204. Roche states that although Flexport may have sought to avoid liability by issuing CY/CY bills of lading, it is liable as the carrier on store door shipments regardless of the label applied to those shipments. (Roche Rebuttal Report at ¶ 67, CXD-2488.)
205. Roche states that because payment is tied to freight release the industry norm is to pay first and fight later. (Roche Rebuttal Report at ¶ 72, CXD-2489-2490).
206. In conclusion, Roche states that Flexport's D&D was not reasonable and did not comply with the Shipping Act and the FMC's interpretive rule on D&D. (Roche Rebuttal Report at ¶ 72, CXD-2489-2492).

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant

to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Dkt. No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (the Commission was obligated to hear allegations particular to the Shipping Act, even where the complainant has already obtained an arbitration award for related breach of contract claims); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Dkt. No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000) (the Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations).

The Commission has an obligation to address Shipping Act claims, even if the relevant facts may also give rise to other claims between the parties. *MCS Industries, Inc. v. Mediterranean Shipping Co. S.A.*, Dkt. No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024). The Commission has jurisdiction over Shipping Act claims even if a related proceeding is underway. *Id.* Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. *Id.* While breach of contract claims are resolved in court or as otherwise agreed by the parties, a claim for violation of the Shipping Act may only be resolved by the Commission.

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 3732849, at *3-4 (FMC Aug. 18, 2021). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Dkt. No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

3. Parties' Motions for Discovery Sanctions

a. Background

On April 4, 2025, the parties filed a joint status report regarding their progress in resolving the discovery disputes at issue in then-pending cross-motions to compel discovery. (Dkt. 50). The joint status report asserted that the disputed issues had been narrowed significantly and detailed the relatively limited number of issues that remained in dispute. (*Id.*)

On June 6, 2025, Complainant Peloton Interactive, Inc.'s Status Report with attachments 1-3 was also filed, a unilateral status report filed without leave in addition to the joint status report the parties filed pursuant the Memorandum Order on Motion for Protective Order, Cease and Desist Remedy, and Motions to Compel served March 26, 2025. (Dkt. 47, 67.) The unilateral

status report asserted that Flexport had not complied with prior orders compelling discovery, but no motion to compel was filed addressing the deficiencies alleged in the status report. (*Id.*)

On June 13, 2025, Respondent's Response to Peloton's Status Report with Exhibits A and B was filed. (Dkt. 71.)

On June 30, 2025 (Dkt. 72), an order was issued resolving all pending motions, including the motions for sanctions filed by both parties (Dkt. 54, 63) and the motions to compel discovery filed by both parties (Dkt. 30 and 32.) The order granted in part both parties' motions to compel discovery and directed each party to take specified actions by a date certain, denied both parties' motions for sanctions, and directed the parties to address any unresolved discovery issues in their respective briefs. (Dkt. 72, at 15.)

The June 30, 2025, order states in pertinent part: "In accordance with the memorandum order on motions to compel and joint status report filed by the parties on April 4, 2025, the unresolved issues in the pending motions to compel are addressed below. As set forth in section II below, the unilateral status report filed by Peloton and the response filed by Flexport are procedurally improper. The parties are directed to address any unresolved discovery issues in their respective briefs." (Dkt. 72, at 15.)

The order's provision for unresolved issues to be raised in the parties' briefs was not an open invitation to raise new arguments not previously raised in a motion to compel or motion for protective order, but rather for the parties to seek appropriate redress for any failures to cure deficiencies as directed in the June 30, 2025, order on pending motions. To the extent that either party now seeks relief for actions that fall outside the dictates of that order, those arguments are deemed to have been waived on the ground that they were not raised by a motion to compel or motion for protective order during the discovery period. Accordingly, with the exception of the witness tampering allegation made by Peloton they will not be addressed herein. For this reason, the imposition of sanctions will generally only be considered to the extent that the parties establish non-compliance with the June 30, 2025, order compelling discovery.

b. Applicable Law

Fed. R. Civ. P. 37(b), applicable to this proceeding pursuant to 46 C.F.R. § 502.12, authorizes a court to sanction a party who "fails to obey an order to provide or permit discovery." Fed. R. Civ. P. 37(b)(2)(A). In response to such failure, the court may "issue further just orders" as it sees fit, including an order "directing that . . . designated facts be taken as established for purposes of the action." *Id.* 37(b)(2)(A)(i). Upon finding a violation of Rule 37(b), the court "must order the disobedient party . . . to pay the reasonable expenses, including attorney's fees, caused by the failure, unless the failure was substantially justified or other circumstances make an award of expenses unjust." *Id.* 37(b)(2)(C).

Four factors guide a court's decision whether to invoke discovery sanctions, such as dismissal, under Rule 37(b): "(1) whether the party's conduct was due to willfulness, bad faith, or fault; (2) whether the adversary was prejudiced by the dismissed party's conduct; (3) whether the dismissed party was warned that failure to cooperate could lead to dismissal; and (4) whether

less drastic sanctions [are appropriate]. . . .” *Bosal Industries-Georgia, Inc. v. PM Engineered Solutions, Inc.*, 2016 WL 11640113, at * 1 (N.D. Ohio May 26, 2016) (citations omitted).

Imposing the extreme sanction of dismissal for a discovery violation is appropriate where a party acts in bad faith and with callous disregard of its discovery responsibilities. *National Hockey League v. Metropolitan Hockey Club, Inc.*, 427 U.S. 639, 643 (1976).

46 C.F.R. § 502.150(b) provides for the imposition of sanctions for the failure to comply with disclosures or discovery orders. It permits the presiding officer to: (1) Direct that the matters included in the order or any other designated facts must be taken to be established for the purposes of the action as the party making the motion claims; (2) Prohibit the disobedient party from supporting or opposing designated claims or defenses, or from introducing designated matters in evidence; or (3) Strike pleadings in whole or in part; staying further proceedings until the order is obeyed; or dismissing the action or proceeding or any party thereto, or rendering a decision by default against the disobedient party.

c. Complainant’s Request for Sanctions

Peloton seeks to impose sanctions against Flexport on the ground that it failed to obey discovery orders issued March 25, April 22, May 15, and June 30 and engaged in bad faith conduct through abusive litigation practices that have prejudiced Peloton. (Brief, at 69-76.) With respect to the allegation that Flexport failed to obey discovery orders, Peloton argues that Flexport’s document production is deficient for the following reasons:

- Flexport has not produced comprehensive delivery orders, NVOCC NRAs, or bills of lading, despite promising to do so and in violation of the May 15 order.
- For the over 7,000 shipments moved by Flexport and its contractors, Flexport has produced *de minimis* emails with its ocean carriers—a total of 17 sent directly from the carriers. Flexport has also produced *de minimis* emails with its contracted truckers. The emails that were produced contain little to no information concerning the basis of D&D charges. This scant production of carrier communication violates the March 25, April 22, May 15, and June 30 orders and contradicts deposition testimony.
- Flexport has produced no data or communication from the Transmission platform, in violation of March 25, April 22, May 15, and June 30 orders.
- Flexport has produced no data or communication from the Warehouse platform, in violation of March 25, April 22, May 15, and June 30 orders.
- Flexport has produced limited internal communications concerning D&D charges, no internal notes from CORE and no internal emails established in deposition testimony, in violation of the May 15 and June 30 orders.

- Flexport has failed to produce trainings and repositories of documents used to train, instruct, and provide guidance to Flexport employees on D&D and FMC compliance in violation of the May 15 and June 30 orders.

(Peloton Brief, Dkt.105, at 71-72.)

Peloton now alleges many of the same deficiencies improperly raised in its unilateral status report rather than by motion as required by 46 C.F.R. § 502.69(a). Peloton argues that Flexport did not produce responsive information despite the entry of orders compelling Flexport to produce, among other things, its internal communications and communications with third parties regarding the movement of Peloton containers, including information from its portals. Peloton argues that to the extent that Flexport has produced responsive documents, it has been *de minimis* and limited to shipment communications. Peloton argues Flexport failed to produce multiple categories of documents, including: 1) internal communications or communications with third parties involved in Peloton shipments; and 2) data relied on by Peloton's expert. (Dkt. 67 at 1-4.) Because no motion to compel was filed within the discovery period, I find that these arguments have been waived to the extent they do not assert non-compliance with the June 30, 2025, order.

To the extent that Peloton contends that Flexport has not complied with the June 30, 2025, order compelling discovery, that order addressed the three deficiencies regarding Flexport's document production that Peloton asserted were unresolved in the joint status report filed April 4, 2025. (Dkt. 50.) With respect to Flexport's requests for production of documents, Peloton alleged that Flexport had not produced all documents responsive to request nos. 4, 5, and 13. The June 30, 2025, order provided in pertinent part:

Request for Production No. 4

Request for Production 4: Produce all Documents and records in connection with the Peloton Shipments, including all contracts and agreements, service agreements with Ocean Carriers, negotiated service arrangements (NSAs), negotiated rate arrangements (NRAs), freight invoices, bills of lading, waybills, Documents and Container management data, Motor Carrier work orders, Motor Carrier invoices, Motor Carrier bills of lading, linehaul bills of lading, freight invoices, Demurrage and Detention invoices, Marine and Inland Terminal data and records, railroad records, Motor Carrier records, and payment records.

Flexport Response: Flexport objects to the instant request on the ground that it is not calculated to seek relevant evidence. The agreements, invoices, and records, if any, and the applicable rates, would be proprietary and would have no bearing on any issue in this litigation.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence. Flexport's objection is **OVERRULED**. The motion to compel RFP No. 4 is **GRANTED**. Flexport is directed to produce all responsive documents within 15 days of the date of this order.

Request for Production No. 5

Request for Production 5: Produce all Documents and data concerning real time tracking information Flexport makes available to customers through online platforms.

Flexport Response: Flexport objects to the instant request on the grounds that it is utterly vague, not limited in terms of time or scope, is unduly burdensome and not calculated to seek relevant evidence. Flexport is at a loss to understand what is meant by “documents concerning real time tracking information.” Is Peloton seeking all data regarding real time tracking for every shipment Flexport handles on behalf of all of its customers? Flexport cannot even formulate a response to this request. Notwithstanding the foregoing, Peloton has always had, and continues to have, access to all real-time data through the Core Client App and any documents or data therein is available to be downloaded.

RULING: The undersigned finds that the request is unduly vague. Moreover, Flexport asserts that all relevant real time data is available through the Core Client App, which has been produced. Flexport’s objection is **SUSTAINED**. The motion to compel RFP No. 5 is **DENIED**.

Request for Production No. 13

Request for Production 13: Produce all Documents, including policies, standards, guidelines, practices, procedures, internal deliberations, reports, memorandums, presentations, training or analyses related to (1) Flexport’s charging of Detention & Demurrage and (2) compliance with the Shipping Act of 1984, 46 U.S.C. §§ 41102(c), 41102(d), 41104, as amended, including regulations, interpretive guidance, and adjudicatory decisions relating to Demurrage and Detention in the U.S. from 2018-Present.

Flexport Response: Flexport objects to the instant request on the ground that it is vague and unduly burdensome. Peloton is seeking all documents relating to the charging of D&D charges. This could encompass a wide array of documents which would be all but impossible to locate – and there is no reason to do so. What is meant by policy, standard, practice, or procedure with respect to the charging of detention and demurrage? Further, there is no basis at all for the timeframe to be 2018. All Detention and Demurrage were assessed in accordance with Flexport’s Rules Tariffs, publicly available and produced herewith.

RULING: The undersigned finds that the request is reasonably calculated to lead to the discovery of admissible evidence but that the time frame is excessive. Flexport’s objection is **SUSTAINED IN PART**. The motion to compel RFP No. 13 is **GRANTED IN PART**. Flexport shall produce responsive documents for years 2020 and 2021 within 15 days of the date of this order

(June 30, 2025, Order, Dkt. 72, at 15-16.)

To the extent that relief was granted, the June 30, 2025, order required Flexport to produce responsive documents within 15 days to the extent not already produced. It made no finding that responsive documents had not been produced related to Transmission, the Warehouse App, the Core platform, emails, or internal communications regarding D&D charge, and Flexport's position has consistently been that all responsive documents have been produced.

The June 30, 2025, order disposed of all pending discovery disputes. It did not find that responsive documents existed that Flexport had not produced, and did not order Flexport to produce any particular document. Peloton now seeks the imposition of sanctions for Flexport's failure to produce specific documents not addressed in the June 30, 2025, order or the motions it disposed of. This is simply too little too late. If Peloton had evidence that Flexport possessed responsive documents that had not been produced, it should have filed a motion to compel during the discovery period establishing the existence of such documents so that an order could be issued directing their production. But that did not occur, and the June 30, 2025, order made no findings that would support an award of sanctions arising from the generalized bad faith conduct in which Peloton now alleges Flexport engaged.

The record does not support a finding that Flexport failed to comply with the June 30, 2025, order. Peloton has failed to establish that Flexport willfully violated the June 30, 2025, order.

Peloton asserts as the most egregious example of bad faith conduct that Flexport engaged in witness tampering through use of intimidation tactics. Specifically, Peloton alleges that: (1) Ryan Tanner wrote a letter to NCBFAA⁵ shortly before expert witnesses Richard Roche testified at deposition in which he questioned the ethics of Roche's serving as an expert witness in this proceeding despite serving as an officer of NCBFAA; and (2) Tanner was present at Roche's deposition for purposes of intimidating the witness and that Flexport's counsel refused to honor the request from Peloton's counsel to have Tanner excluded from the deposition. (Peloton Brief at 74.)

Peloton did not file a motion seeking an order of protection in accordance with 46 C.F.R. § 502.69 requiring all requests for ruling not otherwise specifically provided for to be made by motion. Rather, Peloton raised the issue in its opening brief. That Peloton should have known that a motion for protective order was necessary was obvious given that Flexport's counsel repeatedly noted at Roche's deposition that Tanner would not be excluded because no motion for protective order had been filed. (Roche Dep. 8:3-22:13; CXB-2982-2996.)

⁵ The National Customs Brokers & Forwarders Association of America, Inc. ("NCBFAA") represents companies involved in international trade, including freight forwarders, customs brokers, ocean transportation intermediaries, NVOCCs and air cargo agents that handle 97% of the entries for goods imported into the United States and are directly involved with the logistics of these goods. *See* ncbfaa.org website home page.

Additionally, Peloton's counsel failed to contact the Presiding Officer during the deposition to obtain a protective order despite repeatedly suggesting on the record that he intended to do so. (Roche Dep. 6:10-32:9; CXB-2980-3006.)

As such, I find that Peloton waived its right to move for sanctions arising from its claim that Tanner's letter to NCBFAA sent in advance of the deposition and presence at the deposition was intended to intimidate a witness and constituted witness tampering.

Accordingly, there is insufficient evidence to support the imposition of sanctions pursuant to 46 C.F.R. § 502.150(b) and Fed. R. Civ. P. 37(b).

d. Respondent's Request for Sanctions

Flexport argues that the imposition of sanctions is warranted because Peloton failed to cure deficiencies in its document production and interrogatory responses in compliance with the June 30, 2025, order.

With respect to Peloton's response to production of documents, Flexport argues that Peloton failed to produce its internal audit document related to the demurrage and detention charges at issue in accordance with the June 30, 2025, order. (Respondent's Brief, Dkt. 88, at 69-70.)

The June 30, 2025, order found that Peloton had withheld the audit document under a claim of privilege. It directed Flexport to produce a privilege log within 15 days along with an affidavit setting forth the factual basis for each claim of privilege. (June 30, 2025, order, Dkt. 72, at 5-6.) Peloton provided Flexport with a privilege log as directed, which asserted that both an email dated September 7, 2023, and the attached audit document were protected by the attorney-client privilege. (RX242.) The record shows that Flexport did not challenge Peloton's claim of privilege by filing a motion to compel.

Flexport now seeks to challenge Peloton's attorney-client privilege claim citing to deposition testimony concerning the creation of the audit document and the role that legal counsel and others played. (Respondent's Brief, 36-43.) The cited deposition testimony includes that of David Beyar and David Baitman. David's Beyar's deposition was conducted March 18, 2025. (CXB-2048.) David Baitman's deposition was conducted March 21, 2025. (CXB-2609.) Despite the fact that Peloton served its privilege log in July 2025, and both of these witnesses had been deposed and given testimony when the privilege log was produced, Flexport did not file a motion to compel challenging Peloton's claim of privilege.

I find that Flexport waived its right to challenge Peloton's privilege claim at this late stage of the proceedings because it did not promptly file a motion to compel after receiving the privilege log in July 2025. Although the June 30, 2025, order permitted the parties to raise issues of non-compliance with the order in their briefs, it does not permit Flexport to raise for the first time on brief new issues that should have raised earlier by motion.

With respect to Peloton's interrogatory responses, Flexport argues that the imposition of sanctions is appropriate because Peloton failed to comply with five mandates in the June 30,

2025, order. Flexport asserts that Peloton failed to: 1) identify specific documents responsive to discovery requests; 2) provide a detailed privilege log for the audit documents; 3) identify the date that Peloton notified Flexport that each container was empty; 4) identify the number of free days that each container was at Peloton's facility after the last free day; and 5) state specifically how Flexport caused the delay for each container. (Respondent's Brief, at 56.)

Although Flexport acknowledges that Peloton served supplemental discovery responses pursuant to the June 30, 2025, order, it argues that these were deficient because Peloton: 1) prepared an unusable Bates log with tens of thousands of documents identified; 2) prepared an incomplete privilege log; 3) prepared an incomplete spreadsheet that identified containers and provided return notification dates for only 6.7% of the more than 7,000 containers at issue; 4) claimed it could not provide a complete spreadsheet because it did not have that information; and 5) referred to expert Smith's supplemental report for the basis of the causes of the delay despite that the report does not contain an analysis of container charges. (Respondent's Brief, at 56.)

The June 30, 2025, order stated as follows with respect to Peloton's deficient interrogatory responses:

Peloton is ORDERED within 15 days of the date of this order to provide Flexport with a supplemental responses to Interrogatory Nos. 15 and 18 in which all responsive documents are identified by Bates number, Bates range, or other identification number. Peloton is directed not to assert any "subject to" or boilerplate objections in its response, and to the extent any general objection is asserted that the factual basis for the objection to be stated. To the extent any claim of privilege is raised, Peloton is directed to provide a privilege log that contains the following information: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 3) Names of all persons who received the document or were present at time of communication; 4) Description of document or communication; 4) All privileges claimed; 5) Basis for each privilege claimed.

(Dkt. 72, at 12.)

Flexport argues that Peloton failed to provide Bates numbers for documents responsive to interrogatories as directed in the June 30, 2025, order, but rather merely referred to the entire production of documents and expert reports in its supplemental interrogatory responses. (Respondent's Brief, at 53-54.) Flexport further argues that the responses do not constitute competent evidence because they were prepared by counsel and not reviewed by Peloton. (*Id.*)

Flexport argues that Peloton failed to identify the dates that each container was to be returned and how many days each container was at Peloton's facility before Peloton advised that it could be returned, along with identifying the factual bases for each delay as directed in the June 30, 2025, order. (Respondent's Brief, at 54-55.) Flexport admits that Peloton supplemented its interrogatory responses and advised Flexport that container availability dates were contained

in the attached Appendix 1, but argues this is not sufficient because the appendix was assembled by counsel and not maintained as a business record. (Respondent's Brief, at 55.)

The record demonstrates that Peloton timely supplemented discovery responses as directed in the June 30, 2025, order. Despite that the supplemental responses did not provide the level of detail sought by Flexport, Peloton's supplemental responses appear to have been made in good faith and were not so deficient as to constitute a willful failure that would warrant the imposition of sanctions. Moreover, Peloton's admission that it lacks certain evidence and that certain evidence is incompetent is arguably beneficial to Flexport because it suggests that Peloton may be unable to meet its burden of proof. For this reason, the record does not support a finding that Flexport was prejudiced by Peloton's supplemental responses.

In addition to the request for sanctions in its brief, Respondent moves for reconsideration of the denial of its earlier motion seeking dismissal and the imposition of sanctions. Flexport offers no legal basis or citations to legal authority that would support reversing the June 30, 2025, order. (Respondent's Brief, at 37 n. 14.) Accordingly, Flexport has not met its burden to sustain an award of sanctions.

4. Complainant's Motion for Confidential Treatment

On March 13, 2026, Complainant's Eighth Motion for Confidential Treatment and Exhibit 1 (updated confidentiality matrix) was filed. (Dkt. 109.) Peloton seeks confidential treatment for the information designated as confidential in its Brief, Appendix, and Proposed Findings of Fact submitted February 27, 2026, in accordance with 46 C.F.R. § 502.5(b).

Peloton asserts that confidential treatment is warranted because its Brief, Appendix, and Proposed Findings of Fact contain documents and deposition testimony designated by the parties as confidential material in their confidentiality agreement. Peloton argues that good cause exists to maintain the confidentiality of these materials because they include Peloton's non-public contract terms, rate information, financial account information, and third-party identifiers, which the Commission's rules permit to be protected as confidential commercial information.

Peloton has shown good cause for confidential treatment by demonstrating that the documents identified in the confidentiality matrix attached as Exhibit 1 to the motion contain commercial information pursuant to 46 C.F.R. § 502.141.

For the foregoing reasons, the motion for confidential treatment is **GRANTED**. The Office of the Secretary is requested to treat the designated information in Peloton's Brief, Appendix, and Proposed Findings of Fact, as confidential.

5. Request for Oral Hearing

Peloton requested in its complaint that an oral hearing be scheduled. (Dkt. 1, 14.) Flexport stated in its answer that no oral hearing was necessary. (Dkt. 16.) Judge Crovella denied the requests for oral hearing without prejudice in the Scheduling Order served November 8, 2024. (Dkt. 19.) Neither party subsequently filed a motion requesting an oral hearing. Additionally, a review of the record suggests that there are no material factual disputes for which a hearing is required. Accordingly, no oral hearing has been scheduled.

B. Relevant Law

1. Demurrage and Detention

a. Section 41102(c)

Section 41102(c) of the Shipping Act, states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

The elements for establishing a section 41102(c) claim are specified at section 545.4, which states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

b. Demurrage and Detention Rule

On April 28, 2020, the Commission issued an Interpretive Rule on Demurrage and Detention Under the Shipping Act, effective May 18, 2020, with minor changes from the proposed rule. 85 Fed. Reg. 29638 (May 18, 2020) (“Demurrage and Detention Rule”). “The rule followed years of complaints from U.S. importers, exporters, transportation intermediaries, and drayage truckers that ocean carrier and marine terminal operator demurrage and detention practices unfairly penalized shippers, intermediaries, and truckers for circumstances outside their control.” 85 Fed. Reg. at 29638. The demurrage and detention rule provides “guidance as to what [the Commission] may consider in assessing whether a demurrage or detention practice is unjust or unreasonable” under section 41102(c). 85 Fed. Reg. 29638.

Section 545.5 provides in pertinent part:

(a) *Purpose.* The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.

(b) *Applicability and scope.* This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries (“regulated entities”) related to the use of marine terminal space (e.g., land) or shipping containers, not including freight charges.

(c) *Incentive principle*—(1) *General.* In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

(2) *Particular applications of incentive principle*—(i) *Cargo availability.* The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.

(ii) *Empty container return.* Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

(iii) *Notice of cargo availability.* In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice.

(iv) *Government inspections.* In assessing the reasonableness of demurrage and detention practices in the context of government inspections, the Commission may consider the extent to which demurrage and detention are serving their intended purposes and may also consider any extenuating circumstances.

46 C.F.R. § 545.5.

c. 41104(a)(14)

As amended by OSRA, 46 U.S.C. § 41104(a)(14) provides that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).”

d. 41104(a)(15)

Section 41104(a)(15) applies to invoices issued after the effective date of OSRA on June 16, 2022. Section 41104(a)(15) makes it unlawful for a regulated entity to invoice any party for demurrage or detention charges unless the invoice includes required information. It provides:

(a) In General. A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not -- . . .

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with--

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled “Interpretive Rule on Demurrage and Detention Under the Shipping Act” (or successor rule).

46 U.S.C. § 41104(a)(15).

Section 41104(d)(2) requires that an invoice for detention and demurrage charges must contain the following information:

- a. Date that the container is made available.
- b. The port of discharge.
- c. The container number or numbers.
- d. For exported shipments, the earliest return date.
- e. The allowed free time in days.
- f. The start date of free time.
- g. The end date of free time.
- h. The applicable detention or demurrage rule on which the daily rate is based.
- i. The applicable rate or rates per the applicable rule.
- j. The total amount due.
- k. The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- l. A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- m. A statement that the common carrier's performance did not cause or contribute to the underlying invoice charges.

46 U.S.C. § 41104(d)(2).

The issuance of invoices lacking the requisite information triggers 46 U.S.C. § 41104(f), which provides that “[f]ailure to include the information required under subsection (d) on an

invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.”

e. Reparations

The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). “As the Commission has explained: ‘(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.’” *Id.* (citations omitted). Reparations will only be awarded based on actual damages. “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *Id.* (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Dkt. No. 88-15, 1990 WL 427466, at *23 (FMC Oct. 19, 1990)). “That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *Id.*

The statements of the Commission in *California Shipping Line Inc.* and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principle that the fact of injury must be shown with reasonable certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits. *Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co.*, Dkt. No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992), admin. final, Dec. 31, 1992.

f. Interest

The Shipping Act requires the Commission to award the loss of interest at commercial rates compounded from the date of injury. *See* 46 U.S.C. § 41305(a). Commission regulations establish that “interest granted on awards of reparation in complaint proceedings instituted under the Shipping Act of 1984 will accrue from the date of injury to the date specified in the Commission order awarding reparation.” 46 C.F.R. § 502.253.

The Commission has stated that “with respect to multiple shipments, the ALJ should be able to determine the reasonable date or dates of injury,” and concluded that: “[I]t would not appear to be unreasonable to determine that the mid-point date of the period of all eligible shipments was the date of injury for the claim, because such a date may award the [complainant] approximately the same amount of interest as being calculated using each shipment date, by evening out the earlier and later dates of injury.” *Color Brands, LLC v. AAF Logistics, Inc.*, 2024 WL 4034609, at *5-6 (ALJ Aug. 27, 2024).

C. Discussion

1. Section 41102(c)

As set forth above, to establish a violation of § 41102(c), a complainant must demonstrate that: (1) the respondent is a regulated entity; (2) the claimed acts or omissions occurred on a normal, customary, and continuous basis; (3) the practice or regulation is connected with receiving, handling, storing, or delivering property; (4) the practice or regulation is unjust or unreasonable; and (5) the practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4.

Peloton makes three principal arguments in support of its claim that Flexport engaged in unreasonable practices with respect to the shipments at issue. First, Peloton argues that the D&D was automatically imposed on store door shipments based on Flexport's tariff without regard to the incentive principle or whether Peloton was at fault. Second, Peloton argues that Flexport did not have a meaningful dispute resolution process and failed to adequately train and supervise employees. Third, Peloton argues that Flexport failed to comply with the OSRA invoice requirements effective June 16, 2022, on 13 invoices issued after that date. Peloton also makes a number of miscellaneous arguments that are not supported by evidence in the record, and will not be discussed in detail for that reason.

a. Regulated Entity

Section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries. Flexport is an NVOCC licensed by the FMC. (Complaint ¶ 5; Answer ¶ 5.) Accordingly, the first element is met.

b. Normal, Customary, and Continuous Practice

With the enactment of the rule codified at 46 C.F.R. § 545.4, the Commission restored its interpretation of Section 41102(c) to its pre-2010 understanding and returned the Commission's focus and priority to the activities of maritime regulated entities that generally affect the broader shipping public, 83 Fed. Reg. at 64,479, including that a party is liable only for acts or omissions occurring on a normal, customary, and continuous basis. *See Crocus Investments, LLC v. FMC*, 2022 WL 3012275, at *1 (D.D.C. 2022).

The record shows that more than 7,000 shipments are at issue in this proceeding and that Flexport's process for imposing D&D remained unchanged throughout the relevant period of time. (F of F 83.) Accordingly, I find that the second element is met with respect to Peloton's allegation that D&D was automatically imposed without regard to the incentive principle or fault to have occurred on a normal, customary, and continuous basis.

The record shows that Flexport's dispute resolution and training/supervision processes remained the same during the relevant time frame. (F of F 143.) As such, I find that the second element is met as to the allegation that Flexport lacked meaningful dispute resolution and training/supervision processes.

With respect to the allegation of deficient invoices, Peloton states in its brief: “Since July 2022, Flexport issued thirteen (13) invoices to Peloton, totaling \$83,390 in charges.” (Peloton Brief, at 60.) Peloton’s brief does not identify the disputed invoices by Bates stamp number or otherwise and does not specify how each of the disputed invoices are deficient. Peloton’s proposed findings of fact only reference one invoice in support of the proposition that Flexport’s invoices did not comply with OSRA 2022 requirements, and it does not specify how that one invoice is deficient. (F of F 140.)

Flexport asserts that only 3 of the 13 allegedly deficient invoices were issued on or after June 16, 2022, (Flexport Brief, at 77), a number that, if correct, is too low to constitute a regular practice under established precedent. *See Hangzhou Qianwang Dress Co., Ltd. v. RDD Freight Int’l, Inc.*, Dkt. 17-02, 2020 WL 5406762, at *5 (FMC Sept. 1, 2020) (affirming ALJ decision that three instances over two months was not sufficient to constitute a customary practice); *Crocus Investments LLC v. Marine Transport Logistics, Inc.*, Dkt. No. 15-04, 2021 WL 9204115, at *8-9 (FMC August 18, 2021) (discussing Commission precedent and affirming ALJ decision that a complainant cannot combine disparate types of conduct to create an unreasonable practice).

Based on this record, there is insufficient evidence to determine what invoices are deficient and how they are deficient. Even if the record supported a finding that all 13 of the disputed invoices were deficient, I would find the nominal amount does not constitute a normal, customary, and continuous practice given that Flexport ceased providing NVOCC services to Peloton in mid-2022 and no shipments occurred after that date. (F of F 46.) Accordingly, I find that Peloton has not met its burden of proof with respect to the allegation that Flexport engaged in an unreasonable practice by regularly issuing invoices lacking required information.

c. Connected with Receiving, Handling, Storing, or Delivering Property

The disputed charges were imposed as part of invoicing demurrage, detention, and other charges related to the delivery of Peloton’s cargo. Thus, the third element is met.

d. Unjust and Unreasonable

The Commission has stated that “[t]he test of reasonableness” for practices is that “the practice must be otherwise lawful, not excessive, and reasonably related, fit and appropriate to the ends in view.” *Kawasaki Kisen Kaisha, Ltd v. The Port Authority of N.Y. & N.J.*, 2014 WL 7328475, at *9 (FMC Nov. 20, 2014) (internal citations omitted) (quoting *W. Gulf Mar. Ass’n v. Port of Hous. Auth.*, 21 F.M.C. 244, 248, 18 S.R.R. 783, 790 (FMC 1978), *aff’d without opinion sub nom. W. Gulf Mar. Ass’n v. FMC*, 610 F.2d 1001 (D.C. Cir. 1979), *cert. denied*, 449 U.S. 822 (1980)).

i. D&D Charges on Store Door Moves Pursuant to Tariff

Peloton argues that Flexport automatically imposed charges pursuant to its tariff without regard to the incentive principle or a determination of fault in a manner that was motivated by profit and structured to ensure that Flexport would not be liable for any charges. It further argues that Flexport’s imposition of demurrage and detention charges was unreasonable because it was

responsible for inland transportation on store door moves and therefore responsible for all charges absent a finding that Peloton was at fault for the delay.

Flexport counters that the agreements executed between the parties provide for demurrage and detention to be assessed in accordance with its tariff, that not all of the shipments at issue were store door moves despite that most were, and that Peloton was not charged in instances where Flexport was responsible for the delay.

The record demonstrates that Flexport generally imposed D&D in accordance with its tariff and did not merely pass through charges imposed by the carrier. (F of F 19, 25, 56, 76, 77, 125-127.)

As an initial matter, neither of the parties' arguments regarding the legal implications of their respective contractual obligations are persuasive. Determining whether or not a Shipping Act violation occurred requires an examination of Flexport's practices and procedures to determine if they were reasonable notwithstanding the terms of any agreement that may have been entered into between the parties. In the context of the assessment of demurrage and detention charges, logic suggests that this requires an inquiry into who was responsible for the movement of each container, what circumstances caused the delay leading to the charges in question, whether either party was at fault, and whether the charges are consistent with the incentive principle in accordance with 46 C.F.R. § 545.5(c).

As Judge Wirth stated in *Samsung Electronics America, Inc. v. Zim Integrating Shipping Services Ltd.*, Dkt. No. 22-30, 2025 WL 1255544, at *1 (ALJ Apr. 22, 2025), "[s]orting out responsibility is a complex undertaking requiring reviewing emails and evidence regarding the cause of the delay for each container." This requires complainants to establish unreasonable charges on a container-by-container and day-by-day basis. *See Hapag-Lloyd, A.G. and Hapag-Lloyd (America) LLC-Possible Violations of 46 U.S.C. § 41102(c)*, Dkt. No. 21-09, 2022 WL 3093193, at * 27 (ALJ Apr. 22, 2022) (denying portion of claim based on complainant's failure to specify days detention was improperly charged and noting need for greater focus on the specific shipments and information such as who handled the shipments, the dates free time ended and detention was charged, etc.); *Visual Comfort & Co. v. COSCO Shipping Lines Co.*, Dkt. No. 24-01, 2025 WL 1662697, at *24 (ALJ April 28, 2025) (notice not to review May 9, 2025) (due to fact specific nature of whether D&D charges are just and reasonable it is appropriate to review the charges related to each individual container), and *TZ SSE Buyer, LLC v. Yang Ming Marine Transport Corp.*, Dkt. No. 24-10, 2025 WL 1083815, at *20 (ALJ Mar. 24, 2025) (notice not to review Apr. 24, 2025) (finding burden of proof not satisfied under applicable container-by-container analysis).

The record shows that Flexport generally transported Peloton's cargo from the manufacturer's location or the port overseas to an inland destination in the United States, typically a warehouse location for offloading of the container, but that this did not always occur because they were sometimes transported port to port. (F of F 31-32.)

Even if all of the movements were pursuant to store door terms, this would not definitively determine whether a Shipping Act violation had occurred because the central inquiry is whether or not Flexport's practices and procedures as an NVOCC were reasonable. Both

parties take formulaic positions that are erroneous because they improperly focus on the agreed upon terms for the movement of Peloton's cargo. Peloton asserts in part that Flexport is responsible for D&D charges on store door movements. Flexport attempts to distance itself from its obligations as an NVOCC by describing itself as a global logistics services provider that provides a variety of services. It argues that to the extent it moved Peloton's cargo to its final destination, it did so as a transportation broker as opposed to an NVOCC. (Flexport Brief, at 13.)

I reject both parties' arguments to the extent that they suggest that the question of whether a Shipping Act violation occurred turns on the agreements executed between the parties.

As I stated in *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, 2025 WL 2231637 (ALJ May 28, 2025), *aff'd* 2026 WL 2427726 (FMC Aug. 13, 2026), the fundamental question under the Shipping Act is whether Flexport's practices are reasonable. Although the parties' contractual obligations and course of conduct may be relevant, they are not determinative because the terms of a contract, tariff, or course of conduct may constitute an unreasonable practice. In this regard, "Ocean carriers and marine terminal operators and ocean transportation intermediaries do not have an unbound right to contract for whatever they want. They are limited by prohibition of the Shipping Act, one of which is section 41102(c)." Demurrage and Detention Rule, 85 Fed. Reg. at 29648. For this reason, the Commission has recognized that it needs to carefully scrutinize arguments that shippers, intermediaries, and truckers have the ability to meaningfully negotiate contractual terms related to demurrage and detention. *Id.*

Peloton's argument that an ocean common carrier is responsible for detention and demurrage on store door moves is not supported by the applicable guidance. Despite that commentators argued that ocean carriers should not be able to charge shippers demurrage and detention on carrier haulage/store door moves, the Demurrage and Detention Final Rule does not contain such a provision. Rather, the Commission expressed that it had concerns about charging shippers demurrage on carrier haulage moves under section 41102(c) and would closely scrutinize them in an appropriate case. 85 Fed. Reg. at 29664-29665. Thus, it is clear that the Commission has not determined that demurrage and detention cannot be charged on store door moves, but rather may be closely scrutinized when appropriate to do so.

Additionally, Peloton's argument that Flexport is liable for all charges in store door moves is undermined by its admission through its experts McCown and Smith that it would be liable for certain of the charges at issue here if the record shows that it was at fault for the delay. (F of F 154, 158, 171.) These statements constitute admissible evidence under the hearsay exception applicable to agents of party opponents pursuant to Fed. R. Evid. 801(d)(2)(D).

To the extent that Peloton argues that the D&D charges assessed by Flexport are not consistent with the incentive principle, the record does not support this argument. Peloton expert McCown suggests that Flexport may assess D&D only when it can show specific reasons that Peloton was actually or solely responsible for the delay, but there is no statute, regulation or policy that supports this assertion. (F of F 158.) Moreover, as discussed in detail below at section C.1.d.iii, Peloton has failed to provide a container-by-container analysis showing what conditions existed when each D&D charge was imposed. For this reason, is unclear whether either party was at fault on a particular date.

Peloton argues that it was not at fault during the relevant time frame for a number of reasons, including that Flexport was responsible for transportation of the containers to their final destination, providing chassis, and returning the containers. But this simplistic argument ignores the complexity of the role Peloton played in inhibiting the movement of its cargo and in keeping containers and chassis from being timely returned to the supply chain.

The record shows that Peloton was directly responsible for some of the delays at issue and responsible for events resulting in the imposition of D&D charges. Email communications between the parties show that on a number of occasions Peloton had insufficient warehouse space or failed to unload cargo that had been delivered to its warehouse, making it impossible for Flexport to return containers and chassis and directly contributing to the increasing congestion at the ports by making equipment unavailable. (F of F 74, 75.) Flexport also continued to ship its IBAS product despite that it was not being used, needed to be kept in storage for lengthy periods, and generated large D&D charges that Peloton was aware of and acknowledged in internal email communications. Peloton also sometimes requested that containers be scheduled for pickup weeks after delivery. (F of F 84, 93-98, 100-124.) Peloton was also responsible for communicating with the truckers to schedule the date and time for a container to be picked up, but at times truckers arrived to find that containers that had been scheduled for pick up were not empty. (F of F 33, 43, 44, 69.)

The imposition of charges against Peloton in such instances is more likely than not consistent with the incentive principle. This is why specificity as to the events resulting in the imposition of charges is necessary in order to determine whether they are consistent with the incentive principle. Although no particular form of proof is required, logic dictates that there must be evidence linking particular events to the imposition of charges on the dates assessed.

In the absence of sufficient information about the events resulting in the imposition of D&D charges for a particular container on a particular date, as is the case here, the record does not reveal whether or not the charges in question are consistent with the incentive principle and Peloton has failed to satisfy its burden of proof on this issue.

Similarly, Peloton's suggestion that Flexport assessed D&D pursuant to its tariff without regard to delays for which it was at fault is not supported by the record. In this regard, the evidence shows that draft invoices were generated pursuant to Flexport's tariff but were reviewed for delays caused by Flexport error, including email searches by container and a review of the shipment life cycle for relevant events to remove charges for which Flexport was at fault before a final invoice was issued. (F of F 58, 59, 60, 79). This review also included notes entered in CORE when delays were caused by Flexport or its partners. (F of F 81.)

The record shows that data in CORE was used to populate demurrage and detention charges on invoices in accordance with Flexport's tariff. Flexport employees then reviewed the invoices for their approval and transmission to Peloton. If the invoices generated by CORE were inaccurate, the employee could reject them and manually enter the correct amount on the invoice. The review included looking at bills from the ocean carrier and for any error caused by Flexport or a Flexport partner or notes in CORE entered by the operations team that may result in reducing or waiving fees. (FLERPFF 255; F of F 58.) The review included searching for email

communications by inputting the container number and reviewing any email regarding a particular shipment that popped up in response. Additionally, communications were sometimes pasted into the internal notes tab on CORE. This information would be used to attempt to determine the reason for a container remaining in port beyond free time or an unusually high charge. (F of F 59.) Additionally, a Flexport operations associate or manager reviewed the validity of charges on invoices by looking through the shipment life cycle for any deviations or events that looked off. Additionally, an operations associate could go back and re-review a shipment to address an issue raised by a client to ensure at the time of invoicing that the charges were true, accurate and correct. (F of F 60.)

In the absence of a container-by-container analysis, there is insufficient evidence in the record to show that Flexport's assessment of D&D in accordance with its tariff was per se unreasonable.

Peloton's assertion that Flexport's assessment of D&D was merely profit motivated is speculative because there is no credible evidence reflecting the basis upon which Peloton set its rates, whether those rates were reasonable in relation to the value of the services provided, or whether the rates incentivized freight fluidity. Neither party introduced evidence showing Flexport's income, expenses, or profits. Neither party developed the record in a manner that would allow me to determine the basis for the D&D rate charged by Flexport and whether it was reasonable in light of the services provided. There was also no direct evidence of Flexport's motive in setting its D&D rate.

Peloton relies on its liability expert McCown for the proposition that Flexport's D&D charges were profit-motivated and intended to insulate it from liability for any charges. McCown states in his report that Flexport's D&D was structured to generate profit, not to promote freight fluidity, and contrary to long-standing industry practices and the FMC's guidance that the primary purpose of demurrage and detention is to incentivize the movement of cargo; and that the charges were excessive and unreasonable, and counter to accepted shipping industry practices. (F of F 157.) McCown's opinion as to Flexport's profit motive is not persuasive because he reaches this conclusion without analyzing the amount of profit actually realized by Flexport. (F of F 161.) For this reason, I find his conclusion to be speculative because it lacks meaningful data in support of the proposition advanced. Moreover, McCown does not explain what the standard accepted industry practice is or provide authoritative support for the proposition that Flexport deviated from it.

ii. Dispute Resolution and Employee Training/Supervision

Peloton argues that Flexport lacked a meaningful dispute resolution process. Flexport responds that Peloton reviewed, approved, and paid each invoice and continued to use Flexport's services for years without complaint or dispute.

The record shows that Flexport had a limited dispute resolution process that consisted of its portal and the information provided in its NRAs and website. (F of F 143.)

At the same time, the record shows that Peloton did not utilize the available dispute resolution process to challenge any of the charges and issue, but rather paid all of the charges and

reviewed charges after the fact. (F of F 8, 131-132, 144-145). After it determined that discrepancies existed, it did not provide Flexport with a list of the shipments and invoices it disputed. Rather Peloton “spoke high level about a handful of examples that we saw as patterns throughout the detention and demurrage charges.” (F of F 145-146.) Peloton then instituted this proceeding alleging that all of the charges it paid should be restored in the form of reparations.

The Commission does not require carriers to utilize specific dispute resolution policies. 85 Fed. Reg. 29661. When determining the reasonableness of a carrier’s demurrage and detention practices, the Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements. 46 C.F.R. § 545.5(d).

Although Flexport’s dispute resolution process could benefit from the addition of written guidance on the factors to consider in granting or denying a dispute, the record does not support a finding that the dispute resolution system in place was ineffective. Because Peloton never disputed any of the charges at issue, Flexport’s dispute resolution process was never tested in a manner that would have revealed whether or not it was reasonable under the circumstances. Although Peloton was not required to first dispute the charges at issue in order to seek damages under the Shipping Act, it is still subject to the burden of proving its case by a preponderance of the evidence. In the absence of other evidence showing that Flexport’s dispute resolution process was ineffective, Peloton fails to meet its burden to establish that Flexport’s dispute resolution process is unreasonable.

With respect to training, the record shows that Flexport’s employees did not receive extensive formal training. Rather, operations associates underwent recurring training and shadowing sessions to learn from other senior operators what to do through the life cycle of a shipment. They learned on the job from more experienced employees and managers. Other than Flexport’s rules tariff and FMC regulations, there was no written policy on how to assess detention and demurrage. Associates were taught how to issue valid invoices and actively try to mitigate or avoid demurrage by seeking an extension of the last free day from the carrier or terminal operator. (F of F 61, 78, 147, 148.)

In the event that the carrier or marine terminal operator is unable to provide a chassis, Flexport will request an extension of the last free day or waiver of demurrage and pass it on to Peloton if granted. (F of F 72, 73, 89.) When errors are caused by Flexport or a Flexport partner resulting in delays that are not the fault of Peloton, a note is entered into the CORE system so it can be considered at the time of invoicing for purposes of granting a waiver or discount. (F of F 81.) There is evidence that on at least one occasion Flexport advised Peloton that it would not be charged when the charges resulted from a Flexport Trucking error, but for the reasons set forth below in section iii there is no competent evidence that any of the charges at issue were Flexport’s fault because no container-by-container analysis was provided. (F of F 99.)

Peloton has failed to establish that the informal training provided to Flexport employees was insufficient. There is no evidence that employees invoiced charges improperly or failed to

remove charges that were the fault of Flexport because they received insufficient training. Because Peloton never challenged any of the charges at issue through the dispute resolution process, there are no examples of the decision-making process that could have been used to evaluate the effectiveness of Flexport's employee training. Thus, it was incumbent on Peloton to establish the necessary factual predicate with other evidence. It failed to do so. For this reason, I find that Peloton's claim that Flexport's employee training constitutes an unreasonable practice is speculative. Accordingly, Peloton fails to meet its burden of proof on this theory as well.

iii. Expert Testimony

The parties rely in large part on expert witnesses to support their respective positions on the issues of liability and damages.

As an initial matter, the question of whether a practice is unreasonable under 46 U.S.C. § 41102(c) is a legal question for which none of the experts are qualified to render an opinion with respect to the ultimate issue.

All of the expert witnesses rely to some extent on facts of which they have no first-hand knowledge and for which a sufficient foundation has not been laid under Fed. R. Evid. 602. As a result, they sometimes offer opinions based on inadmissible hearsay evidence. Although experts are permitted to do this, it is only appropriate where a foundation has been laid to establish that they are experts in a field that would reasonably rely on the particular facts and data utilized in forming their opinions on the subject. Fed. R. Evid. 703. Pursuant to 46 C.F.R. § 502.204(a), and in the absence of binding authority I find the Federal Rules of Evidence to be persuasive guidance upon which to analyze the expert opinions in this proceeding. Thus, to the extent that the experts rely on data for which a sufficient evidentiary foundation has not been established, I find their opinions to be unreliable.

The reliability of Peloton's experts Smith, McCown, and Roche is also undermined to the extent they suggest that Flexport is liable for all charges on the theory that it provided "store door" services rather than port to port. (F of F 150, 157, 158, 166, 194, 204.) It is undisputed that Flexport typically transported Peloton's cargo from the port or warehouse to the ultimate destination. Regardless of whether or not the movements at issue are properly characterized as "store door," the critical inquiry is what caused the delay that resulted in D&D being assessed on a particular date and who is responsible for the delay. Because Peloton's experts do not satisfactorily answer this seminal question, I find their opinions to be unpersuasive.

As I stated in *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, 2025 WL 2231637, at *42 (ALJ May 28, 2025), *aff'd* 2026 WL 2427726 (FMC August 13, 2026), in the absence of a container-by-container analysis with information as to why each shipment remained in port beyond the last free day – which none of the experts provided – there will generally be insufficient information in the record to determine whether or not the demurrage and detention charges at issue serve their primary intended purpose under the incentive principal of promoting freight fluidity, in accordance with section 545.5.

Although Peloton argues that damages expert Gregory Smith provided a sufficient analysis to establish the factual basis for the charges at issue, the record shows that Smith

performed a shipment level analysis of consolidated invoices that typically included charges for multiple containers rather than a container-by-container analysis that would provide valuable insight into events occurring at the time that charges for each container were assessed. Smith analyzed consolidated invoices despite that individual invoices were sent to Peloton in addition to the consolidated invoices provided at Peloton's request and not sent to any other Flexport customer. (F of F 133, 134, 136.)

Smith's methodology is troubling given that the audit conducted by Peloton, withheld under a claim of privilege, included the Flex IDs and individual invoices. That audit lined up relevant dates, including gate-in date, goods receipt in warehouse date, empty notification, and empty return, to look for excessive periods of time between the two. The audit also looked at container availability and container pickup date to see if the time was excessive. (F of F 137, 138.) Thus, Peloton's actions in creating its own audit demonstrate that it possessed the information necessary to perform a container-by-container analysis of key events but did not do so for reasons that are not apparent.

Peloton admits that its damages expert Gregory Smith performed a shipment-level analysis rather than a container-by-container analysis, stating: "Mr. Smith, Peloton's damages expert, conducted a forensic analysis of all 275,626 shipment-level data line items by applying search terms recommended by Peloton's Senior Director of Global Transportation and Logistics, Martina Majstorovic and systematically mapping them to specific shipments and corresponding dollar amounts in the Events Download. (Peloton's Reply Brief, at 37-38.)

Exhibit 3 to Smith's Supplemental report shows that Smith analyzed shipments for each Flexport Shipment ID invoiced from 2020-2022 based on the consolidated invoices requested by Peloton rather than the individual invoices provided to Peloton. It lists the amount of demurrage, detention, yard and warehouse charges, and total damages for each. The consolidated invoices contain charges for multiple containers, sometimes as many as eight. (F of F 136.) Exhibit 3 also lists the number of events for each of the following search terms applied to the Events Downloads produced by Flexport in discovery: no carrier delay, congestion, no appointment, Peloton issue. (CXD-1669-1726). It does not identify the dates that containers were discharged, picked up, delivered, or returned. It does not identify the dates for which charges were assessed. It does not list the dates that the referenced events occurred. I find this analysis to be lacking because it does not provide sufficient information to determine the probable cause for each charge assessed on a particular date.

Both Peloton liability experts assert that Flexport cannot evade FMC jurisdiction by attempting to separate its services into ocean and inland transportation components, but Flexport has not argued that the FMC lacks jurisdiction over the D&D charges at issue on that basis. Rather, Flexport has uniformly argued that it assessed D&D in accordance with its tariff and agreements executed between the parties unless there was evidence that the delay was the fault of Flexport when the draft invoices were reviewed for errors. Although Flexport contends that it issued CY bills of lading, it admits that it typically provided port to warehouse services. To the extent it did so, it was responsible as an NVOCC to utilize reasonable practices and procedures and cannot limit its responsibility by characterizing the services provided as that of a property broker. It is well settled that the parties cannot contract in a manner that violates the Shipping

Act. *TWC, Inc. v. Evergreen Shipping Agency (America) Corp.*, Dkt. No. 1966(I), 2025 WL 516256, at *8 (FMC Feb. 13, 2025) (agreement to contractual provisions does not render detention charges reasonable); *TPG Pressure, Inc. v. Omni Logistics LLC*, Dkt. No. 22-31, 2024 WL 4226354, at *29 (FMC Sept. 12, 2024) (tariff and terms and conditions do not make actions reasonable).

Both of Peloton's liability experts suggest that Flexport is generally responsible for D&D in store door shipments absent a finding of fault. Peloton asserts in its reply brief that it is not arguing that Flexport is liable for the charges at issue because the shipments were store door moves, but rather that the charges violate the incentive principle. Regardless, the Commission explicitly rejected the notion that D&D cannot be assessed in store door movements but rather stated that these charges would rather be closely scrutinized in appropriate circumstances. *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, 2025 WL 2231637, at *42 (ALJ May 28, 2025) (citing 85 Fed. Reg. at 29664-29665). As such, there is no bright line test. Rather, the inquiry requires a factual analysis of the causes of delay on the date that the charge was assessed. The fact that Peloton's liability and damages experts advance a theory that was expressly rejected by the Commission undermines their overall credibility. For this reason, I find their opinions to be unpersuasive.

Because Peloton failed to offer sufficient evidence to make out a prima facie case of an unjust or unreasonable practice, it has failed to meet its burden of proof pursuant to 46 U.S.C. § 41102(c), 46 C.F.R. § 545.4, and 46 C.F.R. § 545.5.

Additionally, Peloton's failure to establish a prima facie case is fatal to its burden shifting argument. Peloton argues that under the Commission's burden shifting framework the burden shifted to Flexport to justify its conduct once Peloton established a prima facie case of unjust and unreasonable practices. (Reply Brief at 35, 46.)

A violation of § 41102(c) only occurs when there is evidence of unreasonable conduct that satisfies all of the elements of § 41102(c), including that it proximately results in the damages sustained by complainant. Peloton argues that the payment of D&D constitutes a compensable injury under Commission precedent, but ignores the fact that the charges must have been the proximate result of the unreasonable conduct alleged. In the absence of a container-by-container analysis, the proximate cause element has not been established and Peloton has not made out the prima facie necessary to shift the burden of proof to Flexport. The fallacy of Peloton's analysis is that it focuses on only one of the elements necessary to sustain a Shipping Act violation under § 41102(c), namely the existence of an unreasonable practice. Peloton ignores the fact that the existence of an unreasonable practice is only one of five elements necessary to establish a § 41102(c) violation in accordance with 46 C.F.R. § 545.4.

The legal authority cited by Peloton in its Reply Brief merely supports the proposition that a respondent must provide justification for its actions once a prima facie case of unreasonableness is shown.⁶ It does not obviate the need for Peloton to establish a prima facie

⁶The three cases cited by Peloton are: 1) *New Orleans Steamship Ass'n v. Plaquemines Port, Harbor & Terminal District*, Dkt. No. 83-2, 1985 WL 148970, at *20-22 (ALJ Dec. 30, 1985)

case on all five elements necessary to sustain a § 41102(c) violation before being entitled to shift the burden of proof to Flexport.

Peloton is also not entitled to invoke the burden shifting provision applicable to charge complaints pursuant to 46 U.S.C. § 41310(b)(2) or the Charge Complaint Procedures Final Rule, 91 Fed. Reg. 56053-56, effective September 1, 2026. The rule provides in pertinent part:

Filers are encouraged to clearly identify claims as “Charge Complaints” in their submission. However, in accordance with law, so long as the complaint concerns charges assessed by a common carrier, alleges a violation of 46 U.S.C. 41104(a) and/or 46 U.S.C. 41102, and includes the applicable bill of lading numbers and invoices, it is a Charge Complaint and it will be resolved in accordance with 46 U.S.C. 41310. This includes application of the burden shifting requirement for demurrage or detention charges under 46 U.S.C. 41310(b)(2). The Commission is amending 46 CFR 502.62(a)(3)(v) and adding a new 502.301(b) to alert readers to this fact.

91 Fed. Reg. 56055.

Notably, Peloton’s amended complaint filed October 2, 2024, does not allege a violation of 46 U.S.C. § 41310(b)(2) despite that the provision was enacted on June 16, 2022, as part of OSRA. (Dkt. 14.) As such, Flexport was not provided with notice that it may be required to carry the burden of proof under this provision. Although Exhibit A to the amended complaint contains bills of lading and invoice numbers for twelve shipments occurring on or after the effective date of OSRA on June 16, 2022, it was filed prior to the September 1, 2026, effective date of the final rule.⁷ It necessarily follows that Flexport was not aware of the potential applicability of this

(respondent was required to provide justification for its actions after complainant established a prima facie case of unreasonableness under Section 17 (recodified as 46 U.S.C. § 41102(c)); 2) *Petchem, Inc. v. Canaveral Port Auth.*, Dkt. No. 84-28, 1986 WL 170038, at *13 (FMC Mar. 28, 1986) (respondents’ inability to justify their practices resulted in findings against it); and 3) *Ceres Marine Terminal, Inc. v. Maryland Port Admin.*, Dkt. No. 94-01, 1997 WL 35281266, at *38-39 (FMC Oct. 10, 1997) (finding that complainant met its prima facie burden of proving respondent’s practice was unreasonable and finding that respondent failed to show that the practice was justified). (Reply Brief at 47 n. 39, 40, and 41.)

⁷ The twelve invoices include: 1) FLEX-1153956 invoice dated 2022-08 in the amount of \$39,890 at page 27; 2) FLEX-1392037 invoice dated 2022-07 in the amount of \$20,805 at page 38; 3) FLEX-1455071 invoice dated 2022-07 in the amount of \$13,500 at page 83; 4) FLEX-1527779 invoice dated 2022-07 in the amount of \$575 at page 84; 5) FLEX-1583285 invoice dated 2022-08 in the amount of \$525 at page 85; 6) FLEX-1639876 invoice dated 2022-09 in the amount of \$240 at page 86; 7) FLEX-1643261 invoice dated 2022-09 in the amount of \$525 at page 86; 8) FLEX-1655049 invoice dated 2022-09 in the amount of \$4,665 at page 86; 9) FLEX-1690496 invoice dated 2022-10 in the amount of \$220 at page 86; 10) FLEX-1739309 invoice dated 2022-11 in the amount of \$160 at page 87; 11) FLEX-1782378 invoice dated 2022-12 in the amount of \$925 at page 87; and 12) FLEX-1345045 invoice dated 2022-08 in the amount of \$1,360 at page 87. There are also six invoices dated 2022-06, but because the day of each invoice

provision during the discovery phase of this proceeding, which closed June 2, 2025 pursuant to the Order on Pending Motions served May 15, 2025. (Dkt. 62.) For this reason, I find that applying the final rule at this late stage of the proceeding would deprive Flexport of the due process of law guaranteed by the Fifth Amendment to the United States Constitution.

Accordingly, Peloton's complaint is not considered to be a charge complaint and is subject to the burden of proof for reasonableness generally applicable to a complainant in an adjudicatory hearing proceeding under 46 U.S.C. § 41301.

e. Proximate Cause of Claimed Loss

In order to prove a claim for reparations, a party must show that it is entitled to receive reparations by showing that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with "reasonable certainty." *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25 (1991); *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213, 1230 (1990). Speculative damages are not allowed, and there must be reasonable certainty regarding a claim for lost profits. *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Dkt. No. 21-11, 2023 WL 3969857, at *40 (ALJ June 7, 2023) *aff'd* 2024 WL 4034610, at *20 (FMC Aug. 27, 2024).

As stated earlier, in the absence of a container-by-container analysis specifying the cause of each charge in dispute, a complainant generally fails to meet its burden to establish that the damages sought proximately resulted from the unreasonable practices alleged. *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. 23-01, 2025 WL 2231637, at *47 (ALJ May 28, 2025), *aff'd* 2026 WL 2427726 (FMC August 13, 2026).

Although no particular format is required, a container-by-container analysis must provide sufficient information about the movement of the cargo, reasons for the imposition of charges, and fault for the particular charge at issue to rise above being merely speculative. *See TCW, Inc. v. Evergreen Shipping Agency (America) Corp. & Evergreen Line Joint Service Agreement*, Dkt. No. 1966(I), 2025, WL 516256, at *8 (FMC Feb. 13, 2025) (reasonableness must be assessed alongside all other considerations and the specific factual circumstances of the case); *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Services Ltd.*, Dkt. No. 22-30, 2025 WL 1255544 (ALJ Apr. 22, 2025.)

As discussed in the section above, the analysis performed by Peloton's damages expert Gregory Smith does not constitute a container-by-container analysis, but rather is an analysis of the consolidated invoices with charges for multiple shipments. Although Smith attempts to assign fault by computing the number of times particular search terms are associated with each invoice, there is insufficient factual detail to reliably determine the most likely cause of the delay

is not provided it is unclear whether or not they were issued on or after June 16, 2022. The remainder of the thousands of invoices listed are all dated prior to June 16, 2022.

resulting in each charge. Given the lack of sufficient detail, I find that Greogory Smith's expert report and supplemental expert report are unreliable.

Accordingly, I find that Peloton failed to meet its burden to demonstrate that the D&D charges at issue were proximately caused by Flexport's practices, which in any event were not found to be unreasonable.

2. 41104(a)(14)

As amended by OSRA, 46 U.S.C. § 41104(a)(14) provides that a "common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations)."

Peloton argues that Flexport assessed charges on or after the effective date of OSRA on June 16, 2026, that did not comply with 46 U.S.C. § 41102(c), 46 C.F.R. § 545, and 46 U.S.C. § 41104. Specifically, Peloton states that Flexport assessed D&D charges against Peloton regardless of fault, and Flexport cannot certify that its performance "did not cause or contribute to the underlying invoiced charges" in accordance with 46 U.S.C. § 41104(d)(2)(M). (Peloton Brief at 61.)

Notably, Peloton's proposed findings of fact only identify one invoice that purportedly does not comply with OSRA (CXE-0264), and does not specify why the invoice is deficient. (F of F 140-142.) This is fatal to Peloton's claim because a judge is not required to scour the record or sort through unorganized evidence like "pigs hunting for truffles" in the record. *See Doeblers' Pennsylvania Hybrids, Inc. v. Doeblner*, 442 F.3d 812, 820 n. 8 (3rd Cir. 2006); *Carmen v. San Francisco Unified School District*, 237 F.3d 1026, 1031 (9th Cir. 2001) (a judge is not required to examine the entire file to determine whether a party has presented a genuine issue of material fact due to unfairness to the judge and other litigants); *United States v. Dunkel*, 927 F.2d 955, 956 (7th Cir. 1991). This duty lies with attorneys, who must properly organize and cite evidence to meet their burden of proof.

Moreover, as stated above, Flexport's assessment of detention and demurrage charges against a party not at fault does not constitute an unreasonable practice in the absence of a container-by-container analysis. As such, no violation of § 41102(c) or 46 C.F.R. § 545 has been established because the proximate cause element has not been satisfied. Accordingly, Peloton has failed to meet its burden of proof to establish a violation under § 41104(a)(14).

3. 41104(a)(15)

Section 41104(a)(15) applies to invoices issued after the effective date of OSRA on June 16, 2022. Section 41104(a)(15) makes it unlawful for a regulated entity to invoice any party for demurrage or detention charges unless the invoice includes required information. It provides:

(a) In General. A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not -- . . .

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with--

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled “Interpretive Rule on Demurrage and Detention Under the Shipping Act” (or successor rule).

46 U.S.C. § 41104(a)(15).

Section 41104(d)(2) requires that an invoice for detention and demurrage charges must contain the following information:

- a. Date that the container is made available.
- b. The port of discharge.
- c. The container number or numbers.
- d. For exported shipments, the earliest return date.
- e. The allowed free time in days.
- f. The start date of free time.
- g. The end date of free time.
- h. The applicable detention or demurrage rule on which the daily rate is based.
- i. The applicable rate or rates per the applicable rule.
- j. The total amount due.
- k. The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- l. A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- m. A statement that the common carrier's performance did not cause or contribute to the underlying invoice charges.

46 U.S.C. § 41104(d)(2).

The issuance of invoices lacking the requisite information triggers 46 U.S.C. § 41104(f), which provides that “[f]ailure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge.”

Peloton argues that Flexport issued invoices after June 16, 2022, that failed to comply with the specific requirements set forth in 46 U.S.C. § 41104(a)(15)(A)-(M) with respect to D&D billing. (Peloton Brief at 60-61.) Peloton states that Flexport did not provide the start and end date of free time for each container, the container availability date, or the specific date(s) for which detention and demurrage were charged. Although it admits that an email address was included for disputes, it argues that Flexport did not have any meaningful dispute resolution

process, as parties do not receive individualized responses to disputes arising from these invoices. It asserts that since July 2022 Flexport issued thirteen invoices to Peloton, totaling \$83,390 in charges.

Peloton cites to PELPFF ¶¶ 132-134, 264-271 in support of its allegation. (Peloton Brief at 60.) This evidence consists of deposition testimony concerning chassis availability and the alleged invoice discrepancies discovered by Peloton. It does not include or identify any of the allegedly deficient invoices. As discussed above at section III.C.2, a judge is not required to dig through the record to locate evidence to support an allegation made by a party. Accordingly, Peloton has failed to meet its burden of proof to establish a violation under § 41104(a)(15).

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, and the findings and conclusions set forth above, it is hereby

ORDERED that Peloton's Complaint as amended be **DENIED**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that Complainant's Eighth Motion for Confidential Treatment (Dkt. 109) is **GRANTED**. The Office of the Secretary is requested to treat the designated information in Peloton's Brief, Appendix, and Proposed Findings of Fact, as confidential. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.

MARY A. HERVEY -S

Digitally signed by MARY A.
HERVEY -S
Date: 2026.09.09 09:07:59 -04'00'

Mary Apostolakos Hervey
Administrative Law Judge